DISSERTATION STUDY

“Mergers & Acquisitions by Reliance Industries Limited – An Analysis of Strategic Intent and Financial Outcomes”

A project report submitted in partial fulfilment of the requirements for the degree of Master of Business Administration (Full-Time) from the Faculty of Management Studies (FMS), University of Delhi.

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DECLARATION

I hereby declare that this dissertation titled “Mergers & Acquisitions by Reliance Industries Limited – An Analysis of Strategic Intent and Financial Outcomes” is my original work carried out under the guidance of Dr. Arnav Kumar, Assistant Professor, Finance, Faculty of Management Studies, University of Delhi. It has not been submitted elsewhere for any degree or diploma. All sources of data and published work used have been acknowledged.

AI tools were used to assist with collecting data from company annual reports, press releases and stock-exchange filings, with the Python-based data analysis, and with editing the text of this dissertation.

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ABSTRACT

Between 2012 and 2026 Reliance Industries Limited (RIL) changed from a refining and petrochemicals company into a group whose digital and retail businesses now earn about half of its segment profit. This dissertation asks what role mergers and acquisitions (M&A) played in that change: why RIL acquired what it did, whether the acquisitions improved financial performance, and how investors reacted. It follows a mixed-method design. In the qualitative phase, 52 RIL press releases and twelve annual reports are analysed, and each of 30 acquisitions and strategic investments announced between 2012 and 2025 is classified by Bower's (2001) typology, Ansoff's growth matrix, relatedness and stated motive. In the quantitative phase, the financial ratios of six listed companies that RIL acquired (Network18, Den Networks, Hathway, Alok Industries, Just Dial and Sterling and Wilson) and of RIL itself are compared three years before and after each acquisition using paired t-tests and Wilcoxon signed-rank tests, and the stock-market reaction to 37 announcements is measured with a market-model event study.

Five strategic themes recur: building content and distribution around Jio, extending Reliance Retail into new categories and channels, buying technology capabilities (eleven of the 30 deals are *M&A as R&D*), consolidating distressed assets, and "borrowing" capital and partners through stake sales and joint ventures. Acquisitions were small relative to RIL (median 0.09 per cent of its market value) and equal to about 6.6 per cent of its capital expenditure. RIL's shareholders showed no significant reaction to acquisitions (CAAR of −0.39 per cent over days −1 to +1, $p = 0.31$). Media deals drew negative returns and stake sales to Facebook, Silver Lake and others positive ones. Target shareholders gained an average 7.5 per cent over three days and 23.6 per cent over 21 days, much of it before the announcement. After acquisition the targets' debt-equity ratio fell significantly (1.34 to 0.42, $p = 0.035$), but their profitability did not improve significantly. RIL's operating margin was higher after each of the six acquisition years (Wilcoxon $p = 0.031$), while its return on equity was not. The evidence suggests that RIL used M&A to supply capabilities and reach to businesses it built organically, rather than as a source of short-run financial gain.

Keywords: mergers and acquisitions, strategic intent, corporate diversification, event study, post-merger performance, business groups, Reliance Industries, India

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LIST OF ABBREVIATIONS

Abbreviation	Meaning
AR / CAR / CAAR	Abnormal return / cumulative abnormal return / cumulative average abnormal return
BMP	Boehmer–Musumeci–Poulsen standardised cross-sectional test
BSE / NSE	BSE Limited / National Stock Exchange of India
D/E	Debt-equity ratio
EBIT / EBITDA	Earnings before interest and tax / before interest, tax, depreciation and amortisation
FY	Fiscal year ending 31 March (FY22 = April 2021 to March 2022)
IBC	Insolvency and Bankruptcy Code, 2016
IMT	Independent Media Trust (RIL its sole beneficiary)
JV	Joint venture
LOI	Letter of intent
M&A	Mergers and acquisitions
NCLT	National Company Law Tribunal
O2C	Oil-to-chemicals (RIL's refining, petrochemicals and fuel-marketing segment)
OPM / NPM	Operating profit margin / net profit margin
RBV	Resource-based view of the firm
RIL	Reliance Industries Limited
RNESL / RNEL	Reliance New Energy Solar Limited / Reliance New Energy Limited
ROA / ROCE / ROE	Return on assets / on capital employed / on equity
RRVL	Reliance Retail Ventures Limited
S&W	Sterling and Wilson Renewable Energy Limited
₹ crore	Indian rupees, ten million; ₹1 lakh crore = ₹1 trillion

EXECUTIVE SUMMARY

Context. RIL has been India's most active corporate acquirer of the last decade. Between 2012 and 2025 it announced at least 30 acquisitions and strategic investments, from Network18 and Den Networks to Just Dial, REC Solar, METRO Cash & Carry and the Viacom18–Star India joint venture with Disney. In the same period it sold minority stakes in Jio Platforms and Reliance Retail Ventures to global investors for more than ₹2 lakh crore. Over the same years, Digital Services and Retail rose from about 1 per cent of RIL's segment EBIT in FY16 to about 50 per cent in FY26.

Objectives. (1) To analyse the strategic intent behind RIL's M&A; (2) to evaluate pre- and post-acquisition financial performance; (3) to examine the market reaction to M&A announcements and its effect on shareholder value.

Data and method. A mixed-method design. The qualitative phase analyses 52 RIL press releases and twelve annual reports, and classifies every deal by mode, relatedness, Ansoff direction, Bower's (2001) M&A type and stated motive. The quantitative phase uses financial statements from Screener.in and annual reports (FY2012–FY2026). It applies paired t-tests and Wilcoxon signed-rank tests to twelve ratios for six acquired listed companies and for RIL, and a market-model event study (Nifty 50 benchmark) to 37 announcements and to the six targets' own share prices.

Key findings.

- **Strategic intent.** Five themes recur: (i) content, distribution and technology to complete the Jio digital ecosystem; (ii) new categories, brands and channels for Reliance Retail; (iii) technology capability acquired as *M&A as R&D* (11 of 30 deals), including small staged bets in new energy; (iv) opportunistic consolidation of distressed assets (Alok, Kemrock, RCom's towers, Future Group); and (v) “borrowing” capital and partners through stake sales and joint ventures. Most deals are related or concentric; the unrelated ones are concentrated in new energy.
- **Scale.** Acquisitions were small relative to RIL: the median deal was 0.09 per cent of RIL's market value, and announced acquisitions (₹79,280 crore, including the terminated Future Group deal) were about 6.6 per cent of capital expenditure over FY15–FY26. RIL built its new businesses mainly through organic investment and used acquisitions to fill gaps in them.
- **Market reaction (RIL).** The average acquisition announcement produced no significant abnormal return (CAAR −0.39 per cent over days −1 to +1, $p = 0.31$; robust to model choice). Media deals drew negative returns (day-0 CAAR −1.08 per cent, Patell $p = 0.036$), as did retail deals over the 21-day window (−4.45 per cent, Wilcoxon $p = 0.005$). New-energy deals were mildly positive but not significant. The strongest reactions were to inbound stake sales: Facebook (+9.1 per cent), Silver Lake (+8.9 per cent) and the Aramco letter of intent (+11.2 per cent).

- **Market reaction (targets).** Shareholders of the six acquired companies earned an average CAR of +7.5 per cent over days −1 to +1 (Patell $p < 0.001$) and +23.6 per cent over days −10 to +10 (t-test $p = 0.044$). All six rose before the announcement (CAAR −10 to −2 of +14.1 per cent), which points to anticipation or leakage.
- **Financial outcomes (targets).** After RIL took control, the targets' debt-equity ratio fell from 1.34 to 0.42 (paired t $p = 0.035$), but changes in margins, returns and turnover were not significant. Den and Hathway turned profitable. Just Dial returned to high margins after a dip. Sterling and Wilson and Alok Industries remained loss-making through much of the post-acquisition period.
- **Financial outcomes (RIL).** RIL's operating margin was higher in the three years after each of its six main acquisition years than in the three years before (15.5 to 16.6 per cent on average; Wilcoxon $p = 0.031$). Fixed-asset turnover fell in every case ($p = 0.031$), and ROE, ROCE and net margin did not change significantly. Overlapping deal windows and RIL's large organic investment make it difficult to attribute these changes to M&A.

Implications. RIL's M&A record is better understood as a portfolio of *capability purchases* that support organic platforms than as stand-alone value-creating transactions. For investors, the announcement of a typical RIL acquisition carries little information about value. The decisions that moved RIL's share price were those that revealed the value of the platforms (the stake sales). For managers, the experience shows the strengths of a build–borrow–buy strategy and its integration risks: the Future Group deal failed, and the cable and media assets had to be restructured.

RATIONALE OF THE STUDY

RIL is India's largest private-sector company by revenue and market value, and between 2016 and 2026 it reshaped India's telecom, retail and media industries. Studying how and why it used M&A is worthwhile for four reasons.

1. **Relevance to corporate strategy.** RIL's move away from hydrocarbons is one of the largest corporate transformations in an emerging market. How a mature industrial company used acquisitions, minority stakes and joint ventures to enter consumer and technology businesses is directly relevant to Indian strategists facing similar decisions.
2. **Relevance to investors.** RIL is the largest company in the Nifty 50, and its deals are closely followed. Whether announcements create or destroy value for RIL's and the targets' shareholders, and which kinds do, matters to minority investors in both.
3. **A natural laboratory.** RIL's deals span media, telecom infrastructure, retail, consumer brands, deep technology and new energy, and include successes, restructurings and a failed deal. Studying one acquirer across many targets holds the acquirer's governance and financing constant, so differences in strategy and outcome are easier to see.
4. **A gap in evidence.** Indian M&A studies generally pool many acquirers and treat deals as homogeneous. Few link the strategic intent stated for each deal to its measured financial and market outcomes, and fewer study a diversified business group from the inside.

1. INTRODUCTION

1.1 Mergers and acquisitions in the Indian corporate sector

Mergers and acquisitions are one of the main ways firms grow, change their business mix and enter new markets. A merger combines two firms into one; an acquisition transfers control of a firm, a business or a set of assets to a buyer, who may leave it as a separate legal entity. In practice the boundary is blurred: large Indian groups also use minority strategic stakes, joint ventures, slump sales of businesses and asset purchases out of insolvency, and these are treated in this study as part of the same M&A toolkit.

India's market for corporate control developed in stages. Liberalisation after 1991 removed licensing barriers and allowed groups to consolidate and restructure. The SEBI Substantial Acquisition of Shares and Takeovers Regulations (1997, replaced in 2011) introduced mandatory open offers when control changes, and so gave minority shareholders an exit at a regulated price. The Competition Act, 2002 brought merger control under the Competition Commission of India from 2011. The Companies Act, 2013 simplified schemes of arrangement before the National Company Law Tribunal (NCLT), and the Insolvency and Bankruptcy Code, 2016 (IBC) created a new route to buy distressed companies and assets. Studies of earlier Indian merger waves find that most deals were horizontal or within business groups and were motivated by consolidation and market power more than by efficiency (Beena, 2004; Kumar & Rajib, 2007).

Since 2015 the character of Indian M&A has changed in three ways that are all visible in the case of Reliance. First, technology and consumer-internet assets have become targets, often bought less for their current profits than for their people, software and users. Second, a growing share of activity involves minority stakes sold by Indian conglomerates to global strategic and financial investors. Third, the IBC has turned distressed industrial assets into a regular source of acquisitions. Reliance Industries Limited sits at the intersection of all three trends.

1.2 Reliance Industries Limited: corporate evolution

RIL was founded by Dhirubhai Ambani as a textile trading and manufacturing company and listed in 1977. Its growth over the next three decades followed a deliberate strategy of *backward integration*: from polyester fabric to polyester fibre and yarn, then to the intermediates (PTA, MEG, paraxylene), and finally to crude-oil refining at Jamnagar, which became the world's largest single-location refining complex. Acquisitions supported this integration. RIL merged Indian Petrochemicals Corporation Limited (IPCL) into itself in 2007 and Reliance Petroleum Limited in 2009, and added overseas polyester assets in 2007. Between 2010 and 2011 it formed shale-gas joint ventures in the United States and sold BP a 30 per cent interest in 21 of its oil and gas blocks.

From 2010 the company's direction changed. RIL acquired Infotel Broadband, the only firm to win a pan-India broadband wireless spectrum licence in the 2010 auction, and used it to build Reliance Jio, which launched commercial 4G services in September 2016 and became India's largest telecom operator. Reliance Retail, started in 2006, grew into India's largest retailer. In 2019 the chairman described a “new commerce” strategy linking Jio's connectivity, Reliance Retail's supply chain and millions of small merchants. In 2020 RIL raised ₹1,52,056 crore from Facebook, Google and eleven other investors for minority stakes in Jio Platforms, and ₹47,265 crore for 10.09 per cent of Reliance Retail Ventures (RRVL), and announced that it had become net-debt free. In 2021 it committed to a new-energy business (solar modules, batteries, electrolysers and green hydrogen), and in 2023 it demerged its financial-services business as Jio Financial Services. In November 2024 it completed a joint venture with Disney that combined Viacom18 and Star India into India's largest media company.

Table 1.1: Milestones in RIL's corporate evolution and M&A

Year	Event	Strategic significance
1977	Initial public offering	Equity-funded growth in textiles and polyester
1980s–1990s	Backward integration into fibres, intermediates and petrochemicals	Integration along the hydrocarbon value chain
1999 / 2008	Jamnagar refinery and Reliance Petroleum's export refinery commissioned	Scale and complexity in refining
2007 / 2009	Mergers of IPCL and Reliance Petroleum into RIL	Horizontal consolidation of petrochemicals and refining
2010	Acquisition of Infotel Broadband (BWA spectrum)	Entry into digital services
2011	BP buys 30% of 21 oil and gas blocks	Partner capital and technology in upstream
2012 / 2014	Funding and control of Network18 via Independent Media Trust	Content for the planned 4G network
2016	Commercial launch of Jio	Organic build of a national digital platform
2018–2019	Den, Hathway, Saavn, Embibe, Radisys, Haptik, Hamleys, Alok	Ecosystem completion; capability and distribution acquisitions
2020	Stake sales in Jio Platforms and RRVL; rights issue of ₹53,124 crore; Future Group deal	Capital and strategic partners; retail consolidation
2021–2022	Just Dial, REC Solar, Sterling and Wilson, Faradion, Lithium Werks, Clovia, METRO	New commerce; entry into new energy
2023	Demerger of Jio Financial Services	Simplification of the conglomerate
2024	Viacom18–Star India joint venture with Disney	Consolidation of media and entertainment
2025–2026	Kelvinator, consumer-brand acquisitions (Udhaiyam, Southern Health Foods, Goodness Group)	Building a consumer-brands portfolio

Source: RIL annual reports and press releases; compiled by the author.

The result is visible in RIL's segment accounts. In FY16 refining and petrochemicals (now reported together as oil-to-chemicals, O2C) earned about 87 per cent of RIL's segment EBIT, and retail about 1 per cent. By FY26 O2C earned 37 per cent, while Digital Services

(35 per cent) and Retail (15 per cent) together earned more than half (Section 4.4.3). Few large companies anywhere have changed their business mix so much in a decade, and acquisitions were part of how RIL did it.

1.3 Research problem

RIL's acquisitions are widely reported, but they are usually discussed one at a time and in terms of their headline rationale. It is not clear whether there is a consistent strategic logic across the deals, whether the deals improved the financial performance of the acquired companies or of RIL itself, or whether the stock market regarded them as value-creating. These questions matter because RIL's deals differ greatly in kind. Some, such as Den Networks and Hathway, bought last-mile distribution for Jio. Some, such as Haptik, Embibe and Faradion, bought technology. Some, such as Future Group and METRO Cash & Carry, bought scale in retail. Others, such as Alok Industries, were distressed purchases under the IBC. A study that treats them as one group may miss the differences that matter.

The research problem is therefore to identify the strategic intent behind RIL's M&A, to measure the financial and market outcomes of those transactions, and to examine whether different kinds of strategic intent are associated with different outcomes.

1.4 Objectives and research questions

The study has three objectives, taken from the approved synopsis:

1. To analyse the strategic intent and driving factors behind the key mergers and acquisitions undertaken by Reliance Industries Limited over the last decade.
2. To evaluate the pre- and post-merger financial performance of RIL to determine the financial outcomes and synergy realisation of these transactions.
3. To examine the market reaction to RIL's M&A announcements and assess their impact on shareholder value.

These objectives lead to four research questions: (RQ1) What strategic themes explain RIL's choice of targets, and how do they fit its long-term strategy? (RQ2) Did the financial performance of the acquired companies, and of RIL, change after the acquisitions? (RQ3) How did RIL's and the targets' share prices react to the announcements? (RQ4) Are differences in strategic intent associated with differences in outcome? The formal hypotheses are set out in Section 3.2.

1.5 Scope of the study

- **Period.** Announcements from January 2012 (the Network18 funding arrangement) to July 2025 (Kelvinator), with financial data from FY2012 to FY2026.
- **Deals.** 30 acquisitions and strategic investments by RIL and its subsidiaries (Group A), five inbound strategic stake sales by RIL subsidiaries (Group B), and two deal reversals (Group C). Selection criteria are given in Section 3.4.

- **Companies analysed in depth.** RIL itself and six acquired companies that were listed before and after their acquisition: Network18 Media & Investments, Den Networks, Hathway Cable & Datacom, Alok Industries, Just Dial, and Sterling and Wilson Renewable Energy. Unlisted targets (for example Saavn, Netmeds and REC Solar) are analysed through their strategic rationale and RIL's market reaction, because their own financial statements are not public.
- **Data.** Secondary data only: annual reports, RIL press releases and stock-exchange filings, Screener.in financial statements, and daily share prices from NSE via Yahoo Finance.

1.6 Key definitions

- **Merger or amalgamation:** the combination of two or more companies into one under a scheme approved by the NCLT, as in IPCL (2007) and Reliance Petroleum (2009).
- **Acquisition of control:** the purchase of shares, by preferential allotment or secondary purchase, that gives the acquirer control and, for listed targets, triggers an open offer under the SEBI Takeover Regulations.
- **Strategic (minority) investment:** a non-controlling stake taken for a strategic purpose, often with a commercial agreement (for example Eros, Ambri, Glance).
- **Slump sale / asset purchase:** the purchase of a business or set of assets for a lump-sum consideration without buying the legal entity (Future Group, Kemrock, Lithium Werks).
- **Inbound strategic stake sale:** the sale of a minority stake in an RIL subsidiary to an outside investor (Facebook in Jio Platforms, Silver Lake in RRVL).
- **Strategic intent:** the long-term ambition that guides a firm's choices and leads it to stretch beyond its current resources (Hamel & Prahalad, 1989). In this study it is measured through management's stated rationale for each deal.
- **Abnormal return:** the difference between a share's actual return and the return expected from its normal relationship with the market.

1.7 Structure of the dissertation

Chapter 2 reviews the literature on M&A motives, corporate strategy and diversification, post-merger performance and event studies, and identifies the research gap. Chapter 3 sets out the research design, hypotheses, data, deal selection and statistical methods. Chapter 4 presents the findings: a profile of RIL's deals, the strategic themes from the qualitative phase, case analyses of the six acquired companies, pre- and post-acquisition financial comparisons, and the event-study results. Chapter 5 discusses the results against the literature, draws theoretical and managerial implications, and sets out limitations and directions for further research.

2. STRUCTURED LITERATURE REVIEW

This chapter reviews the literature in four streams set out in the synopsis: theories of M&A; strategic intent and corporate diversification; financial measures of post-merger performance; and market efficiency and event-study evidence. A fifth section reviews the Indian evidence, and the chapter closes by identifying the research gap.

2.1 Theories of mergers and acquisitions

2.1.1 Value-increasing theories: synergy and market power

The dominant explanation for M&A is *synergy*: the combined firm is worth more than the two firms apart because the combination raises cash flows or lowers risk or costs. Chatterjee (1986) separates three kinds of synergy: *operational* synergy from economies of scale and scope, *collusive* synergy from increased market power, and *financial* synergy from a lower cost of capital or better use of internal funds. His analysis of merging firms and their rivals shows that the source of synergy determines who gains: collusive gains appear in rivals' share prices as well, operational gains do not. Bradley, Desai and Kim (1988) measure total synergistic gains in US tender offers at about 7 per cent of combined value, with most of the gain captured by target shareholders. Seth (1990) shows that related and unrelated acquisitions both create value on average but through different channels: related deals through operating economies, unrelated deals through financial ones.

A second value-increasing motive is *market power*: horizontal mergers may allow the combined firm to raise prices. Eckbo (1983) tests this using rivals' share-price reactions and finds little evidence that US horizontal mergers were anticompetitive. Mitchell and Mulherin (1996) and Harford (2005) show that mergers cluster in industries hit by economic, technological or regulatory shocks, and that waves occur when such shocks coincide with ample liquidity. This *industry-shock* view is relevant to India, where the arrival of cheap 4G data in 2016, the IBC in 2016 and the pandemic in 2020 each reshaped whole industries.

2.1.2 Value-reducing theories: agency and hubris

Not all acquisitions are made to maximise shareholder value. Jensen (1986) argues that managers of firms with large free cash flows prefer to invest it, including in acquisitions with low returns, rather than return it to shareholders; debt disciplines them by committing cash to interest payments. Morck, Shleifer and Vishny (1990) show that acquirers' returns are lower when managerial objectives are likely to dominate, in particular in unrelated diversification and when the acquirer's recent performance has been poor. Roll's (1986) *hubris hypothesis* proposes that bidders overestimate synergies and overpay, so that the gain to targets is largely a transfer from the bidder's shareholders. Malmendier and Tate (2008) support this with evidence that overconfident CEOs make more acquisitions, especially diversifying ones, and that the market reacts more negatively to their bids.

Shleifer and Vishny (2003) add a market-timing view: firms with overvalued shares use them as currency to buy undervalued targets.

Trautwein (1990) brings these theories together into seven merger motives (efficiency, monopoly, valuation, empire-building, process, raider and disturbance theories) and concludes that the efficiency theory, although the most often cited by managers, is the least supported by evidence. This is a reminder that managers' stated rationale, which is the starting point of this study's qualitative phase, has to be tested against outcomes rather than accepted at face value.

2.2 Strategic intent and corporate diversification

2.2.1 Growth direction and relatedness

Ansoff (1957) classifies growth by whether the firm sells existing or new products in existing or new markets, which gives four directions: market penetration, market development, product development and diversification. Rumelt (1974) shows that firms which diversify into businesses related to their core skills outperform both single-business firms and unrelated conglomerates. Porter (1987) argues that diversification creates value only if it passes three tests: the industry must be attractive, the cost of entry must not absorb the future profits, and either the new unit or the corporation must gain a competitive advantage from the link. He identifies four concepts of corporate strategy (portfolio management, restructuring, transferring skills and sharing activities) and argues that only the last two consistently create value. Montgomery (1994) reviews why firms diversify (market power, agency and resource-based explanations) and finds the resource view most consistent with the evidence that diversified firms move into related industries.

Finance research has generally found a *diversification discount*. Lang and Stulz (1994) find that diversified US firms have lower Tobin's q than portfolios of comparable focused firms, and Berger and Ofek (1995) estimate a 13–15 per cent value loss, larger for unrelated diversification. The discount is linked to overinvestment and cross-subsidisation of weak segments.

2.2.2 Diversified business groups in emerging markets

These findings may not carry over to emerging markets. Khanna and Palepu (1997) argue that in economies with weak capital, labour and product markets and weak contract enforcement, large diversified groups perform functions that markets perform elsewhere: they allocate capital internally, train managers, carry reputations that reassure customers and partners, and deal with governments. In a study of Indian firms, Khanna and Palepu (2000) find that affiliates of the most diversified groups outperform unaffiliated firms once group diversification passes a threshold. Business groups also have a dark side: Bertrand, Mehta and Mullainathan (2002) find evidence of *tunnelling* in Indian groups, the transfer of resources from firms in which the controlling family has low cash-flow rights to firms

where it has high rights, at the expense of minority shareholders. For a group such as Reliance, therefore, diversification by acquisition could be either a source of advantage or a channel for transferring value between listed and unlisted entities. The listed targets studied here allow both possibilities to be examined.

2.2.3 Types of M&A and their strategic logic

Bower (2001), whose framework is used in this study, argues that "not all M&As are alike" and that the integration challenge depends on the strategic reason for the deal. From a study of large US transactions he identifies five types: (1) *overcapacity* deals, which consolidate a mature industry and close capacity; (2) *geographic roll-ups*, which combine local players into a regional or national firm; (3) *product or market extensions*, which take a firm's products into new markets or add products for existing customers; (4) *M&A as R&D*, which buys technology or talent in place of in-house research; and (5) *industry convergence*, which bets that industry boundaries are dissolving and that a new industry will emerge. Each type calls for a different integration approach: overcapacity deals require fast and decisive integration, while M&A as R&D requires retaining the people who made the target valuable. Haspeslagh and Jemison (1991) make a similar point. The appropriate integration approach (absorption, preservation or symbiosis) depends on how much strategic interdependence and how much organisational autonomy the target needs. Larsson and Finkelstein (1999), in a case survey of 61 deals, find that synergy realisation depends more on organisational integration and employee resistance than on the strategic fit identified before the deal.

2.2.4 Capabilities, ecosystems and options

The resource-based view (RBV) explains acquisitions as a way of obtaining resources that are valuable, rare and hard to imitate (Barney, 1991). The dynamic-capabilities view adds that firms must keep reconfiguring their resources as markets change (Teece, Pisano & Shuen, 1997), and acquisition is one way of doing so quickly. Evidence on technology acquisitions is mixed. Ahuja and Katila (2001) find that acquiring firms' innovative output rises when the acquired knowledge base is large but not too similar to their own. Puranam, Singh and Zollo (2006) show that structurally integrating a technology target can destroy the innovative capacity that made it attractive, especially when the target is at an early stage.

Capron and Mitchell (2012) put these ideas into a practical framework, *build, borrow or buy*. Firms should build internally when their existing resources are relevant, borrow through contracts or alliances when they need resources for a limited purpose, and buy only when they need deep control over the target's resources. Dyer, Kale and Singh (2004) similarly argue that alliances are preferable to acquisitions when synergies are modular or uncertain. Kogut (1991) treats joint ventures and minority stakes as *real options* to expand or acquire later, which suits highly uncertain technologies. Recent strategy research

emphasises *ecosystems*: groups of firms whose products are complementary and must be co-ordinated, often around a platform (Jacobides, Cennamo & Gawer, 2018). In a two-sided platform the value to users on one side depends on participation on the other (Rochet & Tirole, 2003). For an ecosystem orchestrator such as Jio, acquiring complements such as content, apps and distribution can be a way to increase the value of the core platform even if the acquired units earn little on their own. Finally, Hamel and Prahalad (1989) describe *strategic intent* as a long-term ambition that is out of proportion to current resources and that guides a sequence of moves; RIL's stated aim of creating a "digital society" is an example of such an ambition.

2.3 Financial measures of post-merger performance

Accounting-based studies compare the acquirer's (or combined firm's) operating performance before and after the deal. Healy, Palepu and Ruback (1992), studying the 50 largest US mergers of 1979–84, measure pre-tax operating cash flow relative to the market value of assets and adjust for industry performance. They find that merged firms improved their asset productivity after the merger, and that the improvement was correlated with the announcement-period stock return, which suggests that the market anticipated real gains. Ghosh (2001) questions this result. When acquirers are matched to control firms with similar pre-merger performance and size, the apparent improvement disappears, although cash flows still increase after cash acquisitions. Powell and Stark (2005), for UK takeovers, show that conclusions depend on the choice of performance measure and benchmark, and recommend controlling for working-capital changes and pre-event performance. Agrawal, Jaffe and Mandelker (1992) and Loughran and Vijh (1997) find negative long-run stock returns for acquirers, especially in stock-financed mergers.

The meta-analysis of King, Dalton, Daily and Covin (2004), covering 93 studies, concludes that on average acquisitions do not improve the acquirer's financial performance and that the commonly studied variables (relatedness, method of payment and so on) do not explain the variation. The authors argue that unidentified moderators, probably strategic and organisational, must drive the outcomes. Martynova and Renneboog (2008) reach a similar conclusion in their review of a century of takeovers: combined returns are positive, target shareholders capture most of the gain, and long-run operating performance after the deal varies widely.

Most Indian studies of operating performance use ratio analysis with paired tests on a sample of acquirers. Mantravadi and Reddy (2008) study Indian acquirers from 1991 to 2003 and find that the effect of mergers on profitability, returns and leverage differs by industry, with slight improvements in banking and finance and declines in pharmaceuticals, textiles and electricals. Kumar and Bansal (2008), using financial ratios and a survey of managers, find that synergies claimed at the time of the deal were often not realised. Kumar

and Rajib (2007) show that Indian acquirers tend to be larger, more profitable and less leveraged than targets, and that targets typically have low growth and high leverage. This suggests that one measurable outcome of an acquisition is the target's financial restructuring. The present study follows the Indian convention of comparing ratios across profitability, liquidity, solvency and efficiency, but applies it to the acquired companies as well as to the acquirer.

2.4 Market efficiency and event studies in M&A

If capital markets are semi-strong efficient (Fama, 1970), share prices react quickly and without bias to public information. The change in price around an announcement therefore measures the market's estimate of the value the deal will create or destroy. Fama, Fisher, Jensen and Roll (1969) introduced the event-study method with stock splits; Brown and Warner (1985) showed that with daily data simple market-model abnormal returns and standard tests are well specified; MacKinlay (1997) and Kothari and Warner (2007) give the standard methodology. Two refinements are used in this study. Patell (1976) standardises each abnormal return by its estimation-period standard deviation, which gives more weight to firms with less noisy returns. Boehmer, Musumeci and Poulsen (1991) adjust the Patell test for the increase in variance that often accompanies events.

Event-study evidence on M&A is remarkably consistent. Jensen and Ruback (1983) found that target shareholders earn large positive returns (about 20–30 per cent in tender offers), while bidders earn roughly zero. Andrade, Mitchell and Stafford (2001), using US deals from 1973 to 1998, report average target returns of about 16 per cent in the three days around the announcement, acquirer returns of about −0.7 per cent, and a small positive combined return. Moeller, Schlingemann and Stulz (2004) show that acquirer returns are lower for large acquirers. Fuller, Netter and Stegemoller (2002), studying firms that made five or more acquisitions, find that acquirer returns are positive for private targets and negative for public targets bought with stock, and that the reaction to frequent acquirers' later deals tends to be smaller, perhaps because the market already expects them.

2.5 Indian evidence on M&A announcements

Indian event studies find patterns similar to those in developed markets. Anand and Singh (2008) find positive and significant abnormal returns for both bidders and targets in private-sector bank mergers. Chari, Ouimet and Tesar (2010) show that acquirers from developed markets earn significant positive returns when they acquire control of emerging-market targets, which suggests that control itself is valuable where institutions are weak. Gubbi, Aulakh, Ray, Sarkar and Chittoor (2010) find that cross-border acquisitions by Indian firms create value for acquirers, more so when the target is in a developed economy with better institutions. Kohli and Mann (2012) find that cross-border acquisitions create more wealth for Indian acquirers than domestic ones, and examine the firm- and deal-level factors

behind the difference. Few studies examine a single large acquirer in depth, and none to the author's knowledge systematically links the stated strategic rationale of each deal by an Indian business group to its operating and market outcomes.

Table 2.1: Summary of key studies reviewed

Study	Context and sample	Method	Main finding relevant to this study
Healy, Palepu & Ruback (1992)	50 largest US mergers, 1979–84	Industry-adjusted operating cash-flow returns	Asset productivity improves post-merger; linked to announcement returns
Ghosh (2001)	US acquisitions, 1981–95	Matched control firms	No improvement in operating margins once pre-merger performance is controlled for
King et al. (2004)	Meta-analysis of 93 studies	Meta-analysis	On average acquisitions do not improve acquirer performance; unidentified moderators
Andrade, Mitchell & Stafford (2001)	US deals, 1973–98	Event study	Targets gain ~16%; acquirers ~0 to slightly negative
Bower (2001)	Large US deals	Field research	Five M&A types; each needs a different integration approach
Capron & Mitchell (2012)	Telecom and other firms	Field research and surveys	Choose build, borrow or buy according to resource relevance and the need for control
Khanna & Palepu (2000)	Indian firms, 1993	Cross-sectional regression	Affiliates of highly diversified Indian groups outperform
Bertrand, Mehta & Mullainathan (2002)	Indian business groups	Earnings-shock propagation	Evidence of tunnelling within groups
Kumar & Rajib (2007)	Indian merging firms	Logit and discriminant analysis	Targets: low growth, high leverage; acquirers larger and more profitable
Mantravadi & Reddy (2008)	Indian acquirers, 1991–2003	Ratio analysis, paired t-tests	Post-merger effect on ratios varies by industry
Anand & Singh (2008)	Indian bank mergers	Event study	Positive abnormal returns for bidders and targets
Gubbi et al. (2010)	Cross-border deals by Indian firms	Event study	International acquisitions create value for Indian acquirers

Source: compiled by the author.

2.6 Synthesis and research gap

Four conclusions emerge from the literature. First, motives differ between deals and the type of deal matters (Bower, 2001; Haspeslagh & Jemison, 1991), so studies that pool all deals may hide systematic differences. Second, target shareholders reliably gain at announcement, while the average acquirer's gain is close to zero and depends on deal characteristics; for very large and frequent acquirers the announcement reaction may be small because the deal is small relative to the acquirer and partly anticipated (Fuller et al., 2002; Moeller et al., 2004). Third, accounting-based evidence on post-merger performance is mixed and sensitive to the choice of benchmark (Ghosh, 2001; Powell & Stark, 2005). Fourth, in emerging markets diversified groups may create value by substituting for weak

institutions (Khanna & Palepu, 2000), but they may also transfer value away from minority shareholders (Bertrand et al., 2002).

Against this background there are three gaps. (1) **Within-acquirer evidence.** Most studies pool many acquirers, so differences in governance and financing between acquirers are mixed with differences between deals. A single-acquirer study holds the acquirer constant and so isolates the effect of deal type. (2) **Linking intent to outcomes.** Few studies code the stated strategic rationale of each deal and relate it to measured outcomes, although King et al. (2004) identify unmeasured strategic factors as the likely missing moderators. (3) **Indian conglomerate transformation.** There is little systematic evidence on how heavily diversified Indian groups such as RIL use acquisitions, minority stakes and joint ventures together to enter and dominate new sectors quickly. This study addresses these gaps by combining a deal-level strategic classification with target-level and acquirer-level financial analysis and an event study for one of the most active acquirers in India.

3. RESEARCH METHODOLOGY

3.1 Research design

The study uses a *sequential mixed-method design* (Creswell & Plano Clark, 2018): a qualitative phase identifies the strategic themes behind RIL's deals and classifies each deal, and a quantitative phase measures financial and market outcomes and tests whether they differ across the strategic categories found in the first phase. The unit of analysis is the individual transaction, nested within a single acquirer, which makes the study an *embedded single-case design* (Yin, 2018). Studying one acquirer holds constant its governance, financing capacity and reputation, so that differences between deals can be attributed to deal characteristics rather than to differences between acquirers. The cost is that the findings describe RIL and may not apply to other acquirers.

Two levels of financial analysis are combined. At the *target level*, the operating performance of six listed companies acquired by RIL is compared before and after RIL obtained control; these companies remained listed and continued to publish their own accounts, so the effect of the acquisition on them can be observed directly. At the *acquirer level*, RIL's consolidated ratios are compared around the years in which its main acquisitions were completed. The event study is also run at both levels: RIL's share price (37 announcements) and the targets' share prices (nine announcements).

3.2 Hypotheses

Objective 1 is exploratory and is addressed through propositions from the qualitative analysis. Objectives 2 and 3 are tested through the null hypotheses in Table 3.1.

Table 3.1: Hypotheses and how they are tested

Objective	Null hypothesis	Test
1	P1 (proposition): RIL's acquisitions are driven mainly by ecosystem and capability motives aligned with its shift towards consumer and technology businesses, rather than by financial diversification.	Qualitative coding; dictionary content analysis
2	H01: There is no significant difference between the pre- and post-acquisition financial ratios (profitability, liquidity, solvency, efficiency, growth) of the companies acquired by RIL.	Paired t-test; Wilcoxon signed-rank test (N = 6 companies)
2	H02: There is no significant difference between RIL's consolidated financial ratios in the three years before and after its main acquisition years.	Paired t-test; Wilcoxon signed-rank test (N = 6 event years)
3	H03: RIL's M&A announcements do not generate significant abnormal returns for RIL's shareholders (CAAR = 0).	Event study: cross-sectional t, Patell Z, BMP t, Wilcoxon, sign test
3	H04: Acquisition announcements do not generate significant abnormal returns for the shareholders of the acquired companies.	Event study on target share prices
1–3	H05: RIL's announcement returns do not differ across strategic categories (business cluster, Bower type, relatedness) or with relative deal size.	Kruskal–Wallis test; Spearman rank correlation

Source: author.

3.3 Data sources

Table 3.2: Data and sources

Data	Source	Coverage
Deal announcements, stated rationale, deal value	RIL press-release archive (ril.com, 760 releases indexed); 52 deal releases downloaded; news reports for deals announced only by stock-exchange filing	2012–2026
Strategic narrative	RIL annual reports (BSE for FY13–FY14; ril.com for FY17–FY26)	12 reports
Financial statements, line items	Screener.in (consolidated statements and schedules)	FY15–FY26
Financial statements before FY15	Annual reports of RIL (FY12–FY14) and Network18 (FY12–FY14), BSE	FY12–FY14
RIL segment revenue and results	Segment notes in RIL annual reports	FY16–FY26
Daily share prices (adjusted for splits, bonuses and dividends)	NSE closing prices via Yahoo Finance: RIL, Nifty 50 and seven target companies	Jan 2010 – Oct 2026

Note: all data are public and secondary. Files and code are listed in Appendix A.

3.4 Selection of deals

The RIL press-release archive was indexed in full (760 releases, January 2007 to August 2026) and every release announcing an acquisition, merger, strategic investment, joint venture or stake sale was read. A deal was included in **Group A** (acquisitions and strategic investments) if it met all of the following criteria:

1. The acquirer was RIL or a subsidiary (including the Independent Media Trust, of which RIL was the sole beneficiary).
2. It involved acquiring control, a strategic minority stake, a business or a set of operating assets, or forming a joint venture; routine spectrum auctions and supply contracts were excluded.
3. It was announced between January 2012 and July 2025, so that at least 60 trading days of post-event prices are available.
4. The announcement date could be established from a press release, a stock-exchange filing or contemporaneous news reports.
5. RIL's share price was not affected by another price-sensitive RIL announcement on the same day; where this could not be avoided the event is flagged as *confounded* and tested separately.

This gave 30 Group A deals (Appendix B). Two further groups were added for comparison. **Group B** contains the five largest or first-of-kind inbound strategic stake sales (Aramco's letter of intent for the O2C business, Facebook and Google in Jio Platforms, Silver Lake and QIA in RRVL). **Group C** contains two *deal reversals*: the decision to “re-evaluate” the Aramco transaction (November 2021) and the termination of the Future Group deal (April 2022). Subsequent same-type transactions announced within weeks (for example the other ten investors in Jio Platforms in 2020) were excluded to avoid overlapping windows.

The *event day* is the first trading day on which the market could react: the announcement day if the release came before or during trading hours, otherwise the next trading day. Announcements made on weekends or market holidays (for example Den/Hathway on 17 October 2018, a day before the Dussehra holiday) were moved to the next trading day.

For the target-level analysis, companies were included if they were listed for at least three years before and three years after RIL obtained control. Six companies qualify: Network18 (control in FY15), Den Networks and Hathway (FY19), Alok Industries (FY20), Just Dial and Sterling and Wilson (FY22). Future Retail is included in the target event study but not in the financial comparison, because RIL agreed to buy its businesses rather than the company, and the deal was never completed.

3.5 Phase I: qualitative analysis of strategic intent

The qualitative phase uses document analysis of management's own statements. Each deal press release was read and coded on five dimensions:

- **Mode:** acquisition of control, minority strategic investment, joint venture, merger, asset purchase, or distressed acquisition.
- **Relatedness** to the acquiring business: horizontal, vertical, concentric (related through technology, customers or distribution) or unrelated (Rumelt, 1974).
- **Growth direction** in Ansoff's (1957) matrix: market penetration, market development, product development, related or unrelated diversification.
- **M&A type** in Bower's (2001) typology: overcapacity/consolidation, geographic roll-up, product/market extension, M&A as R&D, or industry convergence.
- **Primary stated motive**, derived inductively from the releases: content for the digital ecosystem; scale and infrastructure; capability and technology; omni-channel and new commerce; brands and portfolio; scale and market access; vertical integration; green energy transition; capital and strategic partner.

To check the coding and to trace how RIL's strategic narrative changed over time, a *dictionary-based content analysis* was also performed. Nine themes were defined by keyword lists (Appendix D), and the frequency of each theme was counted per 1,000 words in each press release (after removing the standard “About Reliance” paragraph) and per 10,000 words in each annual report. If the coding is valid, deals coded to a cluster should score highest on that cluster's theme (for example, new-energy deals on “green energy”). The recurring strategic themes were then identified by grouping deals with similar mode, type and motive and comparing them with management commentary in the annual reports.

3.6 Phase II: quantitative analysis

3.6.1 Financial ratios

Twelve ratios in five categories were computed from the consolidated statements (Table 3.3). Equity excludes non-controlling interests; ratios based on equity are reported as not

meaningful (n.m.) when net worth is negative, as for Alok Industries after FY17. Because Screener.in reports condensed balance sheets, the liquidity ratio is constructed from the available line items (inventories, receivables, cash and loans and advances relative to trade payables and short-term borrowings) and is a proxy for the current ratio, not the reported current ratio.

Table 3.3: Financial ratios used

Category	Ratio	Definition
Profitability	Operating profit margin (OPM)	Operating profit (EBITDA excluding other income) / Sales
	Net profit margin (NPM)	Profit after tax / Sales
	Return on equity (ROE)	Profit attributable to owners / (Equity capital + Reserves)
	Return on capital employed (ROCE)	(Profit before tax + Interest) / (Equity + Borrowings)
	Return on assets (ROA)	Profit after tax / Total assets
Liquidity	Liquidity ratio (proxy)	(Inventories + Receivables + Cash + Loans & advances) / (Trade payables + Short-term borrowings)
	Cash to total assets	Cash and equivalents / Total assets
Solvency	Debt-equity	Total borrowings / (Equity capital + Reserves)
	Interest coverage	(Profit before tax + Interest) / Interest
Efficiency	Asset turnover	Sales / Total assets
	Fixed-asset turnover	Sales / Net fixed assets
Growth	Sales growth	Year-on-year change in sales

Note: year-end balances are used. FY12–FY14 values are under Indian GAAP and later years mostly under Ind AS (from FY17).

For each company the mean of each ratio over the three fiscal years before the event year ($t-3$ to $t-1$) is compared with the mean over the three years after it ($t+1$ to $t+3$), excluding the event year itself, in which the transaction distorts the accounts (Healy et al., 1992). For RIL the same comparison is made around each of the six fiscal years in which major acquisitions were completed (FY15, FY19, FY20, FY21, FY22 and FY23). Differences are tested with the paired t-test:

$$t = \bar{d} / (s_d / \sqrt{n}), \quad \text{where } d_i = \text{post-acquisition mean} - \text{pre-acquisition mean for company (or event year) } i$$

Because n is small and ratios such as margins of loss-making firms are far from normal, the Wilcoxon signed-rank test, which uses only the ranks of the differences, is reported alongside. With six pairs the smallest two-sided p-value the Wilcoxon test can produce is 0.031, reached only when all six differences have the same sign.

3.6.2 Event study

Daily log returns $R_{it} = \ln(P_t/P_{t-1})$ were computed from adjusted closing prices. Normal returns are estimated with the market model over an estimation window of 221 trading days,

from day −250 to day −30 relative to the event day, with the Nifty 50 as the market index (MacKinlay, 1997):

$$R_{it} = \alpha_i + \beta_i R_{mt} + \varepsilon_{it} \qquad AR_{it} = R_{it} - (\hat{\alpha_i} + \hat{\beta_i} R_{mt})$$

$$CAR_i(\tau_1, \tau_2) = \Sigma\, AR_{it} \qquad CAAR = (1/N)\, \Sigma\, CAR_i$$

CARs are reported for windows (0,0), (−1,+1), (−2,+2), (−5,+5) and (−10,+10), plus a pre-event run-up window (−10,−2) and a post-event drift window (+2,+10). For individual events the t-statistic is $CAR_i / (\hat{\sigma_{\varepsilon,i}}\, \sqrt{L})$, where L is the window length. For groups of events four tests are used:

- **Cross-sectional t-test:** t = CAAR / (s_{CAR} / $\sqrt{N}$), which allows for event-induced variance but assumes independence across events.
- **Patell (1976) Z:** the sum of standardised CARs ($SCAR_i = CAR_i / (\hat{\sigma_{\varepsilon,i}}\, \sqrt{L})$) divided by $\sqrt{[N(T-2)/(T-4)]}$, where T is the estimation-window length.
- **Boehmer, Musumeci and Poulsen (1991) t:** the mean SCAR divided by its cross-sectional standard error, which corrects the Patell test for event-induced variance.
- **Wilcoxon signed-rank and sign tests:** non-parametric tests of whether CARs are centred on zero and whether more than half are positive.

Robustness. Results are re-estimated (i) excluding confounded events, (ii) with market-adjusted returns ($AR = R_i - R_m$), which require no estimation, and (iii) with a shorter estimation window (−150, −11). **Cross-section.** To relate intent to outcome (H05), CAR(−1,+1) is compared across business clusters, Bower types and relatedness categories with the Kruskal–Wallis test, and correlated with *relative deal size* (deal value divided by RIL's market value five trading days before the event) using Spearman's rank correlation.

3.7 Software and reproducibility

All data collection and analysis were carried out in Python (pandas, NumPy, SciPy, Matplotlib). Every figure in Chapter 4 can be regenerated from the raw files with the scripts listed in Appendix A, and every deal date and value in Appendix B can be traced to the press release or report that gave it.

4. DATA ANALYSIS AND FINDINGS

This chapter presents the findings in the order of the objectives. Section 4.1 profiles RIL's M&A activity. Section 4.2 reports the qualitative findings on strategic intent (Objective 1). Section 4.3 analyses the six acquired listed companies, combining strategy and financial evidence. Section 4.4 presents the pre- and post-acquisition financial comparisons (Objective 2), and Section 4.5 the event-study results (Objective 3). Section 4.6 links strategic intent to outcomes, and Section 4.7 summarises the hypothesis tests.

4.1 Profile of RIL's M&A activity

Table 4.1 lists the 30 Group A acquisitions and strategic investments; Table 4.2 lists the inbound stake sales and deal reversals. The deals are grouped into four business clusters according to the RIL business they serve: Media & Entertainment, Digital & Technology (mainly Jio), Retail & Consumer (Reliance Retail and its brand subsidiaries) and New Energy & Materials.

Table 4.1: RIL's acquisitions and strategic investments, 2012–2025 (Group A)

ID	Announced	Target / transaction	Cluster	Stake / form	Value (as reported)
A01	03-Jan-2012	Network18 & TV18 (funding via Independent Media Trust) and ETV channels	Media & Entertainment	Funding of promoters' rights-issue subscription; ETV interests transferred to TV18	Not disclosed (ETV investments ~Rs 2600 cr)
A02	29-May-2014	Network18 Media & Investments (control)	Media & Entertainment	~78% of Network18 and 9% of TV18 + open offers	Up to Rs 4000 crore
A03	06-Sep-2017	Kemrock Industries assets	New Energy & Materials	Asset purchase from lenders	Not disclosed
A04	28-Dec-2017	Reliance Communications wireless infrastructure assets	Digital & Technology	Towers/fibre/spectrum/MCN assets	Not disclosed
A05	20-Feb-2018	Eros International plc (5% stake)	Media & Entertainment	5% equity at US$15/share	~US$ 48 million (5% at US$15)
A06	23-Mar-2018	Saavn (combined with JioMusic)	Digital & Technology	Partial stake purchase + combination with JioMusic	US$104 m secondary + up to US$100 m growth capital
A07	13-Apr-2018	Embibe (Indiavidual Learning)	Digital & Technology	72.69% fully diluted	Up to US$180 m over three years
A08	29-Jun-2018	Radisys Corporation (NASDAQ)	Digital & Technology	100% at US$1.72/share	~US$74 m equity value
A09	17-Oct-2018	Den Networks and Hathway Cable & Datacom	Media & Entertainment	66% of Den; 51.3% of Hathway + open offers	Rs 5230 crore (Den 2290; Hathway 2940)
A10	08-Mar-2019	Alok Industries (IBC resolution with JM Financial ARC)	New Energy & Materials	~37.7% initially (40.01% by Sept 2020)	Rs 5050 cr resolution plan (joint); RIL equity Rs 250 cr
A11	03-Apr-2019	Haptik Infotech	Digital & Technology	~87% (business transfer)	~Rs 700 crore incl. growth capital
A12	09-May-2019	Hamleys Global Holdings	Retail & Consumer	100%	GBP 67.96 m (~Rs 620 cr)
A13	18-Aug-2020	Netmeds (Vitalic Health)	Retail & Consumer	~60% of Vitalic + 100% of subsidiaries	~Rs 620 crore

ID	Announced	Target / transaction	Cluster	Stake / form	Value (as reported)
A14	29-Aug-2020	Future Group retail & wholesale and logistics businesses	Retail & Consumer	Slump sale of businesses + 6.09% (13.14% with warrants) of FEL	Rs 24713 crore + Rs 1600 crore in FEL
A15	14-Nov-2020	Urban Ladder	Retail & Consumer	96%	Rs 182.12 crore
A16	28-Feb-2021	skyTran Inc (majority)	New Energy & Materials	Increase to 54.46%	US$26.76 m
A17	16-Jul-2021	Just Dial	Retail & Consumer	40.95% + open offer up to 26%	Rs 3497 crore (before open offer)
A18	10-Aug-2021	Ambri Inc	New Energy & Materials	Preferred stock (minority)	US$50 m
A19	10-Oct-2021	REC Solar Holdings and Sterling & Wilson Solar	New Energy & Materials	100% of REC; 40% of SWSL (incl. open offer)	REC EV US$771 m + SWSL up to Rs 3631 crore
A20	31-Dec-2021	Faradion Ltd	New Energy & Materials	100%	EV GBP 100 m + GBP 25 m growth capital
A21	18-Jan-2022	Addverb Technologies	Retail & Consumer	~54%	US$132 m (~Rs 983 cr)
A22	14-Feb-2022	Glance (InMobi group)	Digital & Technology	Minority (Series D)	US$200 m
A23	14-Mar-2022	Lithium Werks assets	New Energy & Materials	Substantially all assets	US$61 m incl. growth funding
A24	20-Mar-2022	Clovia (Purple Panda Fashions)	Retail & Consumer	89%	Rs 950 crore
A25	05-Sep-2022	SenseHawk Inc	New Energy & Materials	Majority	US$32 m incl. growth funding
A26	22-Dec-2022	METRO Cash & Carry India	Retail & Consumer	100%	Rs 2850 crore
A27	03-Jan-2023	Sosyo Hajoori Beverages (50% JV)	Retail & Consumer	50%	Not disclosed
A28	04-Oct-2023	Superdry IP for South Asia (76% JV)	Retail & Consumer	76% of IP-owning JV	GBP 40 m IP value (RBUK share ~GBP 30.4 m)
A29	28-Feb-2024	Viacom18–Star India joint venture with Disney	Media & Entertainment	JV controlled by RIL (RIL 16.34% + Viacom18 46.82%)	RIL to invest Rs 11500 crore; JV post-money Rs 70352 crore
A30	18-Jul-2025	Kelvinator brand (India)	Retail & Consumer	Brand acquisition	Not disclosed

Source: RIL press releases; for A10, A12, A15 and A21, stock-exchange filings as reported in the financial press (see Bibliography).

Table 4.2: Inbound strategic stake sales (Group B) and deal reversals (Group C)

ID	Announced	Transaction	Stake	Value (as reported)	Note
B01	12-Aug-2019	Saudi Aramco LOI for 20% of O2C	20% of O2C (non-binding)	EV US$75 bn for O2C (stake ~US$15 bn)	Announced at 42nd AGM on a market holiday
B02	22-Apr-2020	Facebook investment in Jio Platforms	9.99%	Rs 43574 crore	Announced before market open
B03	15-Jul-2020	Google investment in Jio Platforms	7.73%	Rs 33737 crore	Announced at 43rd AGM
B04	09-Sep-2020	Silver Lake investment in Reliance Retail Ventures	1.75%	Rs 7500 crore	First RRVL stake sale

ID	Announced	Transaction	Stake	Value (as reported)	Note
B05	23-Aug-2023	Qatar Investment Authority investment in Reliance Retail Ventures	0.99%	Rs 8278 crore	
C01	19-Nov-2021	Aramco O2C deal put on hold ('re-evaluate')	—	—	Announced late Friday
C02	23-Apr-2022	Future Group deal called off	—	Rs 24713 crore deal	Announced Saturday after creditor votes

Source: RIL press releases and news reports.

Three features stand out. First, activity was concentrated between FY18 and FY23, when RIL was building Jio's fixed-line business, scaling up Reliance Retail's digital and B2B channels, and entering new energy (Figure 4.1). FY22 alone saw eight announcements, five of them in new energy. Second, the clusters differ in deal size (Table 4.3). Media deals were few but large (median ₹5,230 crore), while new-energy deals were many but small (median ₹465 crore), consistent with the purchase of technology platforms and options rather than scale. Third, the deals were small relative to RIL. The median deal with a disclosed value was 0.09 per cent of RIL's market value, and only the Future Group deal (2.0 per cent) and the Network18 deal (1.2 per cent) exceeded 1 per cent.

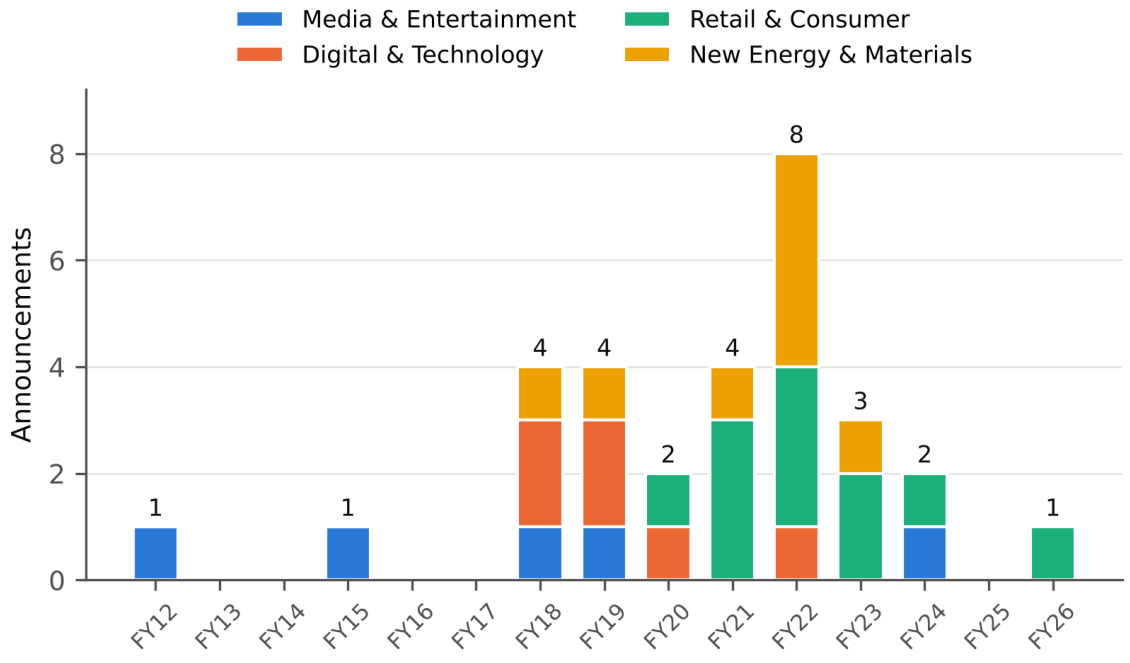


Figure 4.1: Number of RIL acquisition and strategic-investment announcements by fiscal year and cluster

Source: Table 4.1; author's compilation.

Table 4.3: Deals by business cluster

Cluster	Deals	With disclosed value	Total value (₹ crore)	Median value (₹ crore)
Digital & Technology	6	5	5,210	1,170

Cluster	Deals	With disclosed value	Total value (₹ crore)	Median value (₹ crore)
Media & Entertainment	5	3	20,730	5,230
New Energy & Materials	8	7	17,015	465
Retail & Consumer	11	9	36,325	950
Total	**30**	**24**	**79,280**	**1,076**

Note: values converted to rupees at approximate exchange rates on the announcement date where reported in foreign currency; Future Group (₹26,313 crore, terminated in 2022) is included in Retail & Consumer.

Table 4.4 compares the value of announced acquisitions with RIL's capital expenditure. Over FY15–FY26 announced acquisitions totalled ₹79,280 crore, about 6.6 per cent of the ₹11.95 lakh crore that RIL spent on fixed assets. If the Future Group deal, which was never completed, is excluded, the ratio is about 4.4 per cent. Even in the peak years (FY21 and FY22) acquisitions were less than a quarter of capital spending. RIL's transformation was therefore mostly *built*: the Jio network, the store network and the new-energy giga-factories were organic investments. This is the first important finding for the interpretation of the financial results. At the level of RIL as a whole, acquisitions were too small to drive the consolidated ratios on their own.

Table 4.4: Announced acquisitions relative to capital expenditure (₹ crore)

Fiscal year	Acquisitions announced	Inbound stake sales in event sample	Capital expenditure	Acquisitions as % of capex
FY15	4,000	–	63,364	6.3
FY16	–	–	46,898	–
FY17	–	–	78,109	–
FY18	1,330	–	73,953	1.8
FY19	11,960	–	93,626	12.8
FY20	1,320	–	76,517	1.7
FY21	27,310	84,811	105,837	25.8
FY22	18,445	–	100,145	18.4
FY23	3,105	–	140,988	2.2
FY24	11,810	8,278	152,883	7.7
FY25	–	–	139,967	–
FY26	–	–	122,916	–
Total	**79,280**	**93,089**	**1,195,203**	**6.6**

Source: Table 4.1; capital expenditure (purchase of fixed assets) from RIL's consolidated cash-flow statements via Screener.in. Note: Group B covers only the five sampled stake sales; total inbound investment in Jio Platforms and RRVL during 2020–2023 exceeded ₹2.1 lakh crore.

4.2 Phase I findings: strategic intent

4.2.1 Strategic classification of the deals

Table 4.5 classifies each Group A deal. Several patterns appear. Sixteen of the 30 deals were acquisitions of control and four were minority strategic investments; the rest were joint ventures, mergers, asset purchases and one distressed acquisition under the IBC. In

Ansoff's terms, product development is the most common direction (14 deals): RIL added products or services for customers it already served through Jio and Reliance Retail. Unrelated diversification (6 deals) is confined almost entirely to new energy. By Bower's typology, *M&A as R&D* is the largest category (11 deals), followed by product/market extension (7), industry convergence (5) and overcapacity/consolidation (5); there are two geographic roll-ups (Table 4.6).

Table 4.5: Strategic classification of each Group A deal

ID	Deal	Mode	Relatedness	Ansoff direction	Bower type	Primary motive
A01	Network18 & TV18 (funding via Independent Media Trust) and ETV channels	Minority strategic investment	Concentric (content for 4G)	Diversification (related)	Industry convergence	Content for digital ecosystem
A02	Network18 Media & Investments (control)	Acquisition of control	Concentric (content for 4G)	Diversification (related)	Industry convergence	Content for digital ecosystem
A03	Kemrock Industries assets	Distressed asset purchase	Concentric (new materials)	Product development	M&A as R&D	Capability/ technology
A04	Reliance Communications wireless infrastructure assets	Distressed asset purchase	Horizontal	Market penetration	Overcapacity/ consolidation	Scale & infrastructure
A05	Eros International plc (5% stake)	Minority strategic investment	Concentric (content)	Product development	Industry convergence	Content for digital ecosystem
A06	Saavn (combined with JioMusic)	Merger/combination	Concentric (digital content)	Product development	Industry convergence	Content for digital ecosystem
A07	Embibe (Indiavidual Learning)	Acquisition of control	Concentric (ed-tech)	Product development	M&A as R&D	Capability/ technology
A08	Radisys Corporation (NASDAQ)	Acquisition of control	Vertical (network technology)	Product development	M&A as R&D	Capability/ technology
A09	Den Networks and Hathway Cable & Datacom	Acquisition of control	Vertical (last-mile distribution)	Market penetration	Geographic roll-up	Scale & infrastructure
A10	Alok Industries (IBC resolution with JM Financial ARC)	Distressed acquisition (IBC)	Vertical (polyester to textiles)	Market penetration	Overcapacity/ consolidation	Vertical integration
A11	Haptik Infotech	Acquisition of control	Concentric (conversational AI)	Product development	M&A as R&D	Capability/ technology
A12	Hamleys Global Holdings	Acquisition of control	Horizontal (specialty retail)	Market development	Geographic roll-up	Brand & portfolio
A13	Netmeds (Vitalic Health)	Acquisition of control	Concentric (e-pharmacy)	Product development	Product/market extension	Omni-channel & new commerce
A14	Future Group retail & wholesale and logistics businesses	Acquisition of businesses (terminated 2022)	Horizontal	Market penetration	Overcapacity/ consolidation	Scale & market access
A15	Urban Ladder	Acquisition of control	Concentric (online furniture)	Product development	Product/market extension	Omni-channel & new commerce
A16	skyTran Inc (majority)	Acquisition of control	Unrelated (mobility technology)	Diversification (unrelated)	M&A as R&D	Capability/ technology
A17	Just Dial	Acquisition of control	Concentric (local search/commerce)	Product development	Product/market extension	Omni-channel & new commerce

ID	Deal	Mode	Relatedness	Ansoff direction	Bower type	Primary motive
A18	Ambri Inc	Minority strategic investment	Unrelated (energy storage)	Diversification (unrelated)	M&A as R&D	Green energy transition
A19	REC Solar Holdings and Sterling & Wilson Solar	Acquisition of control	Unrelated (solar manufacturing & EPC)	Diversification (unrelated)	M&A as R&D	Green energy transition
A20	Faradion Ltd	Acquisition of control	Unrelated (sodium-ion batteries)	Diversification (unrelated)	M&A as R&D	Green energy transition
A21	Addverb Technologies	Acquisition of control	Vertical (warehouse robotics)	Product development	M&A as R&D	Capability/ technology
A22	Glance (InMobi group)	Minority strategic investment	Concentric (content/commerce)	Product development	Industry convergence	Content for digital ecosystem
A23	Lithium Werks assets	Asset purchase	Unrelated (LFP batteries)	Diversification (unrelated)	M&A as R&D	Green energy transition
A24	Clovia (Purple Panda Fashions)	Acquisition of control	Concentric (D2C apparel)	Product development	Product/market extension	Brand & portfolio
A25	SenseHawk Inc	Acquisition of control	Unrelated (solar software)	Diversification (unrelated)	M&A as R&D	Green energy transition
A26	METRO Cash & Carry India	Acquisition of control	Horizontal (B2B wholesale)	Market penetration	Overcapacity/ consolidation	Scale & market access
A27	Sosyo Hajoori Beverages (50% JV)	Joint venture	Concentric (FMCG beverages)	Product development	Product/market extension	Brand & portfolio
A28	Superdry IP for South Asia (76% JV)	Joint venture	Horizontal (fashion brands)	Market penetration	Product/market extension	Brand & portfolio
A29	Viacom18–Star India joint venture with Disney	Merger/joint venture	Horizontal (media consolidation)	Market penetration	Overcapacity/ consolidation	Scale & market access
A30	Kelvinator brand (India)	Brand/asset purchase	Concentric (consumer durables)	Product development	Product/market extension	Brand & portfolio

Source: author's coding of RIL press releases (Section 3.5).

Table 4.6: Business cluster by Bower (2001) M&A type (number of deals)

Cluster	Geographic roll-up	Industry convergence	M&A as R&D	Overcapacity/ consolidation	Product/ market extension	Total
Digital & Technology	0	2	3	1	0	6
Media & Entertainment	1	3	0	1	0	5
New Energy & Materials	0	0	7	1	0	8
Retail & Consumer	1	0	1	2	7	11
Total	**2**	**5**	**11**	**5**	**7**	**30**

Source: Table 4.5.

The cross-tabulation shows that each business used acquisitions for a different purpose. Media deals were mostly *industry convergence* bets, buying content and distribution on the expectation that telecom, broadband and media would converge. Digital deals were mostly *M&A as R&D* (Radisys, Embibe, Haptik), with two convergence deals (Saavn, Glance). Retail deals were mostly *product/market extensions* into new categories (pharmacy, furniture, intimate wear, beverages, consumer durables). New-energy deals were almost all *M&A as R&D*, buying technology in solar cells, batteries and software.

4.2.2 Content analysis of RIL's strategic narrative

Table 4.7 shows the average intensity of each theme in the deal press releases, by cluster. The coding is consistent with the language of the releases. Media releases score highest on content and media (28.9 mentions per 1,000 words), retail releases on consumer reach (19.1) and brands (17.4), new-energy releases on green energy (22.7) and technology (15.7), and the stake-sale releases on the digital ecosystem (19.3) and partnership and capital (9.7). The word *synergy* and its variants appear at similar, modest rates in every cluster (2.3–3.7 per 1,000 words), which suggests that RIL presents its deals less in terms of cost synergies than in terms of building platforms, reach and capabilities.

Table 4.7: Theme intensity in deal press releases by cluster (mentions per 1,000 words)

Theme	Digital & Technology	Media & Entertainment	New Energy & Materials	Retail & Consumer	Strategic stake sale
Digital ecosystem & platform	15.5	12.4	4.0	6.7	19.2
Content & media	9.8	28.9	0.0	3.1	2.6
Technology & capability	8.3	2.2	15.7	2.7	6.1
Consumer reach & new commerce	5.0	5.1	2.2	19.1	10.1
Scale & leadership	7.2	4.2	9.3	4.3	7.8
Brands & portfolio	0.0	0.7	2.7	17.4	1.2
Green energy transition	0.0	0.0	22.7	0.0	0.0
Synergy & integration	2.8	3.7	3.0	2.3	1.4
Partnership & capital	7.6	3.6	3.9	5.3	9.7

Source: author's content analysis of 32 RIL press releases (Appendix D lists the keywords).

The annual reports show how the strategic narrative changed over time (Figure 4.2). In FY13–FY14 the reports mention the digital ecosystem about 6–7 times per 10,000 words; by FY20 the figure is 44. Language about consumers and commerce peaks in FY20 at the height of the “new commerce” strategy, and green-energy language rises from about 5 to 26 mentions per 10,000 words between FY21 and FY22, after the June 2021 announcement of the new-energy business. Explicit mentions of acquisitions stay low and stable (3–5 per 10,000 words): management describes the strategy in terms of platforms and ecosystems and treats acquisitions as instruments.

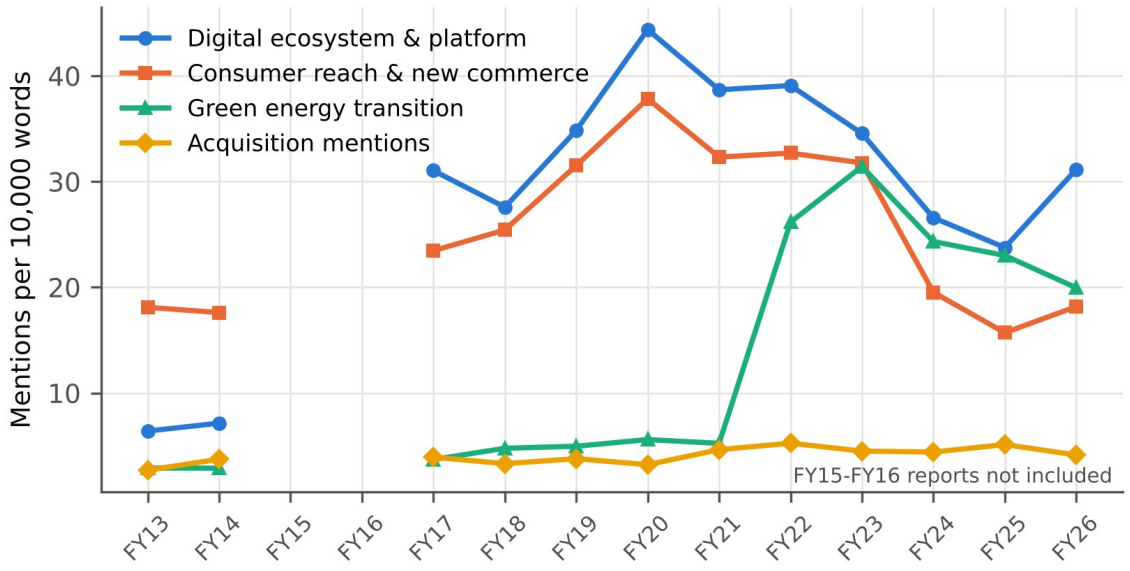


Figure 4.2: Strategic themes in RIL's annual reports (mentions per 10,000 words)

Source: author's content analysis of RIL annual reports FY13, FY14 and FY17–FY26.

4.2.3 Five recurring strategic themes

Grouping the deals by mode, type and stated motive, and comparing them with management commentary, gives five recurring themes in RIL's inorganic strategy.

Theme 1: Completing the Jio digital ecosystem (content, distribution and technology). The earliest deals were made to supply content for a 4G network that did not yet exist. In January 2012 RIL announced that Infotel would have "preferential access" to all Network18 and TV18 content, and in May 2014 it described the acquisition of control of Network18 as having a "fundamental synergy with RIL 4G business". Saavn (2018) and the Eros stake (2018) added music and film. When Jio moved into fixed broadband, the Den and Hathway acquisitions (2018) were made "to accelerate JioGigaFiber rollout to 50 million homes across 1,100 cities" by co-opting local cable operators rather than competing with them. The RCom tower and fibre assets (2017) added infrastructure. Radisys (2018), Haptik (2019) and Embibe (2018) bought network software, conversational AI and education technology, and Radisys was described as accelerating "Jio's global innovation and technology leadership in the areas of 5G, IOT and open source architecture". These are complements to a platform: they make the platform more valuable to its users even if they earn little on their own (Jacobides et al., 2018).

Theme 2: New commerce and the extension of Reliance Retail. From 2020 retail deals took over. Netmeds "broadens [Reliance Retail's] digital commerce proposition to include most daily essential needs"; Urban Ladder added furniture online; Just Dial was to become "a comprehensive local listing and commerce platform" connecting small merchants; METRO Cash & Carry added 31 large B2B stores and about 3 million business customers; Addverb added warehouse robotics. A parallel stream of brand acquisitions (Hamleys,

Clovia, the Superdry IP, Sosyo, Kelvinator and, in 2025–26, regional food brands) built a portfolio of owned brands that earn higher margins than third-party goods sold through the same stores. These are mainly Bower's product/market extensions.

Theme 3: Buying technology, and buying options, in new energy. The new-energy deals were made within months of the June 2021 announcement of the business and were explicitly about technology. REC Solar was described as giving RIL "a global and significant operating and technology platform"; Faradion's sodium-ion technology was a "core pillar" of the battery strategy; Lithium Werks added about 219 LFP patents. Several were deliberately small minority stakes (Ambri, Caelux at 20 per cent, Glance in digital) taken alongside other investors, with options to deepen the relationship. Such staged investments in uncertain technologies are best seen as *real options* (Kogut, 1991): they buy the right, but not the obligation, to scale up later.

Theme 4: Opportunistic consolidation of distressed assets. A group of deals bought assets from sellers under financial pressure: Kemrock (a bank auction, 2017), RCom's wireless assets (a lender-run sale, 2017), Alok Industries (an IBC resolution in which lenders accepted about ₹5,050 crore against claims of roughly ₹30,000 crore), Den and Hathway (cable companies with years of losses), Urban Ladder (widely described as a distress sale), Future Group (a retailer weakened by debt and the pandemic) and METRO Cash & Carry (an exit by the German parent). These are Bower's overcapacity and consolidation deals. Their logic is to buy capacity, customers or locations below replacement cost, and they depend on the buyer's ability to turn the assets around.

Theme 5: Borrowing capital and partners. The largest transactions in value were not acquisitions but sales of minority stakes in subsidiaries: ₹1,52,056 crore for about 33 per cent of Jio Platforms in 2020, ₹47,265 crore for 10.09 per cent of RRVL in 2020, a further ₹15,314 crore for RRVL in 2023 (QIA, KKR, ADIA), and the proposed sale of 20 per cent of O2C to Saudi Aramco at an enterprise value of US$75 billion. Joint ventures with BP (fuels retail), Disney (media) and others did the same in other businesses. In Capron and Mitchell's (2012) terms, RIL *built* its core platforms, *borrowed* capital and partners through stake sales and joint ventures, and *bought* the capabilities, content and reach it could not build quickly. The stake sales also funded the acquisitions and the capital programme without raising RIL's leverage.

4.2.4 Integration approach and challenges

The press releases show a consistent integration approach. In almost every technology and brand deal the founders or managers stayed on: Saavn's three co-founders, Embibe's founder, the Haptik team, Just Dial's founder V.S.S. Mani as managing director, and Clovia's founding team. This is the *preservation* approach that Haspeslagh and Jemison (1991) recommend when a target needs autonomy to keep its capabilities, and it is

consistent with Puranam et al.'s (2006) warning against absorbing early-stage technology firms. The cable and media deals involved more integration, with the cable companies' networks put to work for JioFiber.

The record also shows integration and execution challenges. The Future Group deal was blocked by Amazon's arbitration claim from 2020 and was abandoned in April 2022 after Future Retail's secured creditors voted against the scheme. The Aramco transaction was put on hold in November 2021 “in light of the changed context” of RIL's new-energy strategy. Network18's portfolio was repeatedly reorganised: TV18 took control of Viacom18 in 2018, and in 2024 Viacom18's media undertaking was merged into Star India under the Disney joint venture. Den and Hathway turned profitable, but Den's revenue declined and Hathway's grew slowly as subscribers moved from cable television to broadband and streaming, including RIL's own JioFiber and JioCinema. Sterling and Wilson incurred large losses on legacy projects after the acquisition. These cases are analysed in Section 4.3.

4.3 Case analyses of the six acquired listed companies

This section analyses the six acquired companies that were listed before and after the acquisition, which allows strategy and outcome to be studied together for each. Table 4.8 gives each company's ratios averaged over the three years before and after the year in which RIL obtained control. Figure 4.3 summarises two of them. Annual values are in Appendix C.

Table 4.8: Acquired companies: mean ratios three years before and after RIL obtained control

Company (event year)	Ratio	Pre (t−3 to t−1)	Post (t+1 to t+3)	Change
Network18 Media & Investments (FY15)	Operating profit margin (%)	−1.76	−3.00	−1.24
	Net profit margin (%)	−10.87	−7.10	+3.77
	Return on capital employed (%)	−0.46	−1.31	−0.85
	Debt-equity (x)	2.61	1.13	−1.49
	Asset turnover (x)	0.42	0.27	−0.15
	Sales growth (%)	17.79	−10.06	−27.85
Den Networks (FY19)	Operating profit margin (%)	6.09	17.34	+11.25
	Net profit margin (%)	−21.01	10.99	+32.00
	Return on capital employed (%)	−6.81	5.92	+12.73
	Debt-equity (x)	0.73	0.03	−0.70
	Asset turnover (x)	0.45	0.36	−0.09
	Sales growth (%)	5.67	0.70	−4.97
Hathway Cable & Datacom (FY19)	Operating profit margin (%)	15.99	25.27	+9.27
	Net profit margin (%)	−14.11	9.23	+23.34
	Return on capital employed (%)	−2.29	5.88	+8.17
	Debt-equity (x)	1.81	0.18	−1.64

Company (event year)	Ratio	Pre (t−3 to t−1)	Post (t+1 to t+3)	Change
	Asset turnover (x)	0.40	0.35	−0.05
	Sales growth (%)	−1.84	5.09	+6.93
Alok Industries (FY20)	Operating profit margin (%)	−88.11	3.89	+92.00
	Net profit margin (%)	−103.46	−54.29	+49.16
	Return on capital employed (%)	−25.57	−21.30	+4.27
	Debt-equity (x)	15.10	–	–
	Asset turnover (x)	0.25	0.77	+0.52
	Sales growth (%)	−36.17	34.08	+70.25
Just Dial (FY22)	Operating profit margin (%)	25.76	20.11	−5.65
	Net profit margin (%)	27.82	35.08	+7.26
	Return on capital employed (%)	24.97	10.38	−14.59
	Debt-equity (x)	0.04	0.02	−0.02
	Asset turnover (x)	0.49	0.21	−0.29
	Sales growth (%)	−2.76	21.18	+23.93
Sterling and Wilson Renewable Energy (FY22)	Operating profit margin (%)	2.16	−17.27	−19.43
	Net profit margin (%)	2.50	−21.30	−23.80
	Return on capital employed (%)	11.36	−12.62	−23.98
	Debt-equity (x)	1.50	0.73	−0.77
	Asset turnover (x)	1.34	0.82	−0.52
	Sales growth (%)	−20.60	32.34	+52.94

Source: author's calculations from Screener.in consolidated statements (Just Dial standalone) and, for Network18 FY12–FY14, annual reports. Debt-equity for Alok Industries is not meaningful (negative net worth).

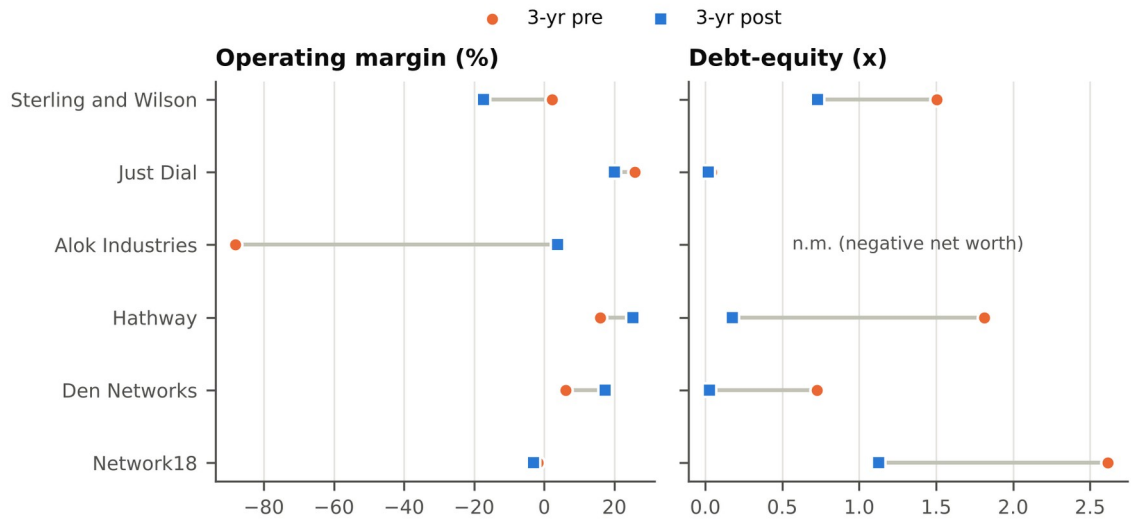


Figure 4.3: Acquired companies: operating margin and debt-equity before and after acquisition

Source: Table 4.8.

4.3.1 Network18 Media & Investments (media; control acquired 2014)

Strategic intent. Network18 was the first deal in RIL's digital strategy. The 2012 arrangement gave Infotel (later Jio) preferential access to the content of Network18, TV18 and their channels for its planned 4G network, and the 2014 acquisition of control was justified by its "fundamental synergy with RIL 4G business" and by Network18's digital properties (Moneycontrol, Firstpost, BookMyShow and others). In Bower's terms it is an *industry-convergence* deal: a bet that telecom, the internet and media would merge.

Transaction. In January 2012 the Independent Media Trust, of which RIL was the sole beneficiary, funded the promoters of Network18 and TV18 to subscribe to their rights issues, and part of RIL's interest in the ETV channels was transferred to TV18. In May 2014 RIL approved funding of up to ₹4,000 crore for IMT to acquire control (about 78 per cent of Network18 and 9 per cent of TV18) and to make open offers; control passed in July 2014 (FY15).

Financial outcome. RIL's money arrived before RIL took control: the FY13 rights issue cut Network18's debt-equity ratio from 7.1 in FY12 to 0.3 in FY13. The pre-period average (2.61) therefore overstates the change attributable to the 2014 acquisition, and leverage rose again after FY16. Operating margins stayed close to zero (−1.8 per cent before, −3.0 per cent after), and sales fell after FY15 largely because the restated Ind AS accounts equity-accounted the joint ventures. The business became profitable only after TV18 consolidated Viacom18 (FY20–FY22 operating margins of 11–18 per cent) and was reorganised again when Viacom18's media undertaking merged into Star India in 2024.

Market reaction. The market treated the deal as a large transfer to Network18's shareholders. Network18's CAR over days −1 to +1 was +25.9 per cent in 2012 ($t = 6.69$) and +25.9 per cent in 2014 ($t = 6.15$), with +44.8 per cent over 21 days in 2014. RIL's own CAR was negative on both occasions (−3.6 and −1.2 per cent, neither significant individually).

Assessment. Strategically, Network18 delivered what it was bought for: a large content library and news and entertainment channels that became the base of RIL's media business and of the Disney joint venture. Financially, the acquired company did not become profitable on a stand-alone basis for several years, and RIL's shareholders were sceptical. This is consistent with Bower's warning that convergence bets are the hardest to evaluate and integrate.

4.3.2 Den Networks and 4.3.3 Hathway Cable & Datacom (cable distribution; 2018)

Strategic intent. Both deals were made to give JioGigaFiber access to homes through the existing last-mile networks and the local cable operators (LCOs) connected to them, who were "steadily losing market share" to direct-to-home television, "to accelerate JioGigaFiber rollout to 50 million homes across 1,100 cities". They are vertical,

distribution-oriented deals, closest to Bower's *geographic roll-up*, in industries suffering from overcapacity and losses.

Transaction. On 17 October 2018 RIL agreed to invest ₹2,045 crore by preferential issue and buy ₹245 crore of shares from the promoters for 66 per cent of Den, and to invest ₹2,940 crore by preferential issue for 51.3 per cent of Hathway, with open offers in Den, Hathway, GTPL Hathway and Hathway Bhawani. The deals closed in FY19.

Financial outcome. The fresh equity transformed both balance sheets. Den's debt-equity fell from 0.73 to 0.03 and Hathway's from 1.81 to 0.18, and both became debt-free in practice. Profitability improved sharply: Den's operating margin rose from 6.1 to 17.3 per cent and its net margin from −21.0 to +11.0 per cent; Hathway's operating margin rose from 16.0 to 25.3 per cent and its net margin from −14.1 to +9.2 per cent. Lower interest costs explain much of the turnaround. Growth was the weak point: Den's revenue fell from ₹1,285 crore in FY18 to ₹974 crore in FY26, and Hathway's grew only from ₹1,535 crore to ₹2,150 crore, as households moved from cable to broadband and streaming.

Market reaction. Target shareholders gained mostly *before* the announcement: the CAR over days −10 to −2 was +30.4 per cent for Den and +16.8 per cent for Hathway, consistent with leakage of information or market anticipation before the announcement. RIL's share price fell 5.3 per cent over days −1 to +1 (t = −2.60), the largest negative reaction in Group A, but the deal was announced together with RIL's Q2 FY19 results and the reaction cannot be attributed to the deal alone.

Assessment. The deals succeeded as financial restructurings and as a distribution channel for Jio, but the acquired businesses are in structural decline. Their value to RIL lies mainly in the reach they gave JioFiber, which is outside their own accounts.

4.3.4 Alok Industries (textiles; IBC resolution 2019–20)

Strategic intent. Alok is a large integrated textile manufacturer and a major buyer of polyester, so the deal is a *vertical integration* move forward from RIL's polyester business, and an *overcapacity* deal in Bower's terms. It was also an opportunistic distressed purchase under the IBC.

Transaction. RIL and JM Financial ARC submitted a resolution plan in April 2018. The committee of creditors approved it in June 2018 after a re-vote, and the NCLT approved it on 8 March 2019, at about ₹5,050 crore against total claims of about ₹30,000 crore. RIL invested ₹250 crore in equity in early 2020 (37.7 per cent, rising to 40 per cent), and the transaction was completed in FY20.

Financial outcome. The resolution improved Alok's operating position but did not restore it to health. The operating margin moved from −88 per cent in the pre-period (which included the year of insolvency) to +3.9 per cent, and revenue recovered from ₹3,298 crore

in FY20 to ₹7,310 crore in FY22 as operations restarted. From FY23 revenue fell again to ₹3,715 crore in FY26, and Alok has reported net losses and negative net worth throughout, and has depended on funding support from RIL.

Market reaction. Alok's shares rose 12.0 per cent over days −1 to +1 of the NCLT approval (t = 1.85) and 50.3 per cent over days −5 to +5. RIL's reaction was small and positive (+1.3 per cent).

Assessment. Alok shows the limits of turning around a distressed asset whose industry has excess capacity. The deal secured a captive downstream outlet for RIL's polyester at a low entry price, but nine years later the target is not self-sustaining.

4.3.5 Just Dial (local search and commerce; 2021)

Strategic intent. Just Dial was bought to make Reliance Retail's "new commerce" strategy work. Its database of about 30.4 million listings and its search traffic were meant to connect small merchants with JioMart and Reliance's B2B supply chain, turning Just Dial into "a comprehensive local listing and commerce platform". It is a *product/market extension* with concentric relatedness.

Transaction. On 16 July 2021 RRVL agreed to subscribe to a preferential issue of 2.12 crore shares at ₹1,022.25 (25.33 per cent) and to buy 1.31 crore shares from founder V.S.S. Mani at ₹1,020 (15.62 per cent), a total of ₹3,497 crore for 40.95 per cent, followed by an open offer for up to 26 per cent. Control passed on 1 September 2021 (FY22). Mr Mani continued as managing director.

Financial outcome. Just Dial did not need capital, and the preferential issue roughly doubled its equity, so ROE fell from 19.6 to 8.7 per cent and ROCE from 25.0 to 10.4 per cent even as profits recovered. The operating margin dipped to −0.3 per cent in FY22, during the pandemic and the transition, but recovered to 29 per cent in FY25 and FY26. Revenue rose from ₹675 crore in FY21 to ₹1,214 crore in FY26 (sales growth averaged +21.2 per cent in the post-period against −2.8 per cent before). Net margin is boosted by treasury income on the cash raised.

Market reaction. Just Dial's shares fell 10.1 per cent over days −1 to +1 because the deal price was about 4.7 per cent below the previous close after the stock had risen on reports of the talks. RIL's shares rose 2.6 per cent, one of the more positive reactions to a retail deal.

Assessment. This is one of RIL's clearer successes as a stand-alone acquisition: the business grew and regained high margins under the founder's continued management (the preservation approach). Its contribution to the wider new-commerce strategy is harder to measure from public data.

4.3.6 Sterling and Wilson Renewable Energy (solar EPC; 2021)

Strategic intent. S&W, one of the largest solar engineering, procurement and construction (EPC) contractors in the world, was acquired with REC Solar on the same day to give RIL's new-energy business execution capability, "to establish and enable up to 100 GW of solar energy in India by 2030". It is an unrelated-diversification deal in Ansoff's terms and a capability (*M&A as R&D*) deal in Bower's.

Transaction. On 10 October 2021 RNESL agreed to subscribe to 2.93 crore new shares and to buy 1.84 crore shares from Shapoorji Pallonji at ₹375 per share, and to make an open offer for 25.9 per cent, so as to hold 40 per cent. The transaction closed in FY22.

Financial outcome. The years after the acquisition were the worst in S&W's history. Legacy fixed-price contracts made heavy losses as module and freight costs rose: the operating margin was −17.4 per cent in FY22 and −55.8 per cent in FY23, and the three-year post-period average was −17.3 per cent against +2.2 per cent before. Net worth briefly turned negative in FY23. Revenue then recovered strongly, from ₹2,015 crore in FY23 to ₹7,548 crore in FY26, with a positive operating margin of about 4 per cent, as domestic orders, including RIL's own projects, grew.

Market reaction. S&W's shares rose 13.7 per cent over days −1 to +1 (t = 2.16) but gave back 12.4 per cent over days +2 to +10. RIL's shares rose 3.0 per cent on the REC and S&W announcements together.

Assessment. Strategically the deal gave RIL a large EPC platform at the right time for India's solar build-out. Financially it imported losses from contracts signed before the acquisition, which the post-acquisition averages capture. Whether the recovery since FY24 continues is an open question.

4.3.7 Other notable transactions

Future Group (2020–2022): a failed consolidation. The ₹24,713 crore purchase of Future Group's retail, wholesale, logistics and warehousing businesses would have made Reliance Retail the dominant organised retailer in several formats. Future Retail's share price rose 13.8 per cent over days −1 to +1 (t = 2.08) after a 27.2 per cent run-up, while RIL's barely moved (−0.8 per cent). The deal was challenged by Amazon, an investor in a Future promoter company, through arbitration and the courts, and was abandoned on 23 April 2022 after Future Retail's secured creditors voted against the scheme. Future Retail's shares fell 13.2 per cent over days −1 to +1 of the termination (t = −2.30) and 58.6 per cent over 21 days. RIL's reaction was negligible. The case shows the legal and contractual risk of buying businesses whose owners have prior commitments to third parties.

Viacom18–Star India joint venture with Disney (2024). The joint venture merged two of India's largest media companies, with RIL investing ₹11,500 crore and controlling the venture at a post-money value of ₹70,352 crore. It is RIL's largest media transaction and an

overcapacity consolidation in a market disrupted by streaming. RIL's CAR was −1.0 per cent over days −1 to +1 (not significant).

Stake sales in Jio Platforms and RRVL (2020, 2023). These were the transactions to which the market reacted most strongly (Section 4.5). Facebook's investment, announced on 22 April 2020 at a pre-money enterprise value of ₹4.62 lakh crore for Jio Platforms, raised RIL's share price by 9.1 per cent over three days. Silver Lake's investment in RRVL at an equity value of ₹4.21 lakh crore raised it by 8.9 per cent. By August 2023, QIA's investment valued RRVL at ₹8.28 lakh crore, almost double the 2020 value.

4.4 Pre- and post-acquisition financial performance

4.4.1 Acquired companies (H01)

Table 4.9 tests whether the six companies' ratios changed after acquisition. The only significant change is in solvency: the mean debt-equity ratio fell from 1.34 to 0.42 (t = −3.14, p = 0.035), and it fell in every company for which it is defined (Wilcoxon p = 0.062, the lowest attainable with five pairs being 0.063). This reflects RIL's typical deal structure. Most acquisitions combined a preferential issue of new shares with a secondary purchase, so the target received fresh equity and repaid debt. Cash as a share of assets rose from 5.7 to 10.3 per cent (not significant).

Profitability improved on average but not significantly. The mean operating margin rose from −6.6 to +7.7 per cent (p = 0.42) and net margin from −19.9 to −4.6 per cent (p = 0.20; five of six companies improved). Sales growth rose from −6.3 to +13.9 per cent a year (p = 0.24). ROCE and asset turnover fell slightly, partly because the equity raised in the deals enlarged the capital base before it was deployed. With six companies whose experiences diverge so widely (Den and Hathway turned around, S&W and Network18 did not), the tests have little power, and the null hypothesis H01 cannot be rejected except for leverage.

Table 4.9: Paired tests of pre- versus post-acquisition ratios: six acquired companies

Category	Ratio	N	Mean pre	Mean post	Median pre	Median post	t	p (t)	p (Wilcoxon)
Profitability	Operating profit margin (%)	6	−6.64	7.72	4.12	10.62	0.89	0.415	0.688
Profitability	Net profit margin (%)	6	−19.86	−4.56	−12.49	1.07	1.48	0.200	0.219
Profitability	Return on equity (%)	5	−9.11	0.45	−18.66	4.09	0.79	0.475	0.438
Profitability	Return on capital employed (%)	6	0.20	−2.17	−1.37	2.28	−0.41	0.698	0.844
Profitability	Return on assets (%)	6	−5.65	−4.85	−5.26	0.68	0.19	0.858	0.844
Liquidity	Liquidity ratio (x)	6	1.36	1.33	1.24	1.02	−0.09	0.930	0.844
Liquidity	Cash to total assets (%)	6	5.65	10.34	4.39	4.73	1.15	0.304	0.688
Solvency	Debt-equity (x)	5	1.34	0.42	1.50	0.18	−3.14	0.035	0.062
Solvency	Interest coverage (x)	6	6.53	13.39	−0.21	2.28	1.15	0.304	0.438
Efficiency	Asset turnover (x)	6	0.56	0.46	0.44	0.36	−0.68	0.525	0.438
Efficiency	Fixed-asset turnover (x)	6	30.44	15.14	3.35	1.57	−1.05	0.341	1.000

Category	Ratio	N	Mean pre	Mean post	Median pre	Median post	t	p (t)	p (Wilcoxon)
Growth	Sales growth (%)	6	−6.32	13.89	−2.30	13.13	1.35	0.235	0.312

Note: N is the number of companies with values in both windows (ROE and debt-equity exclude Alok Industries, whose net worth was negative). Source: author's calculations.

4.4.2 Reliance Industries (H02)

Figure 4.4 plots four of RIL's ratios from FY12 to FY26, with the six main acquisition years shaded. The most obvious features are not related to M&A: the jump in operating margin in FY16, when the collapse in crude prices reduced revenue and widened refining margins; the rise in leverage to FY16 as Jio was built; and the sharp fall in debt-equity in FY21, when the stake sales and the ₹53,124 crore rights issue brought in more than ₹2.5 lakh crore of equity.

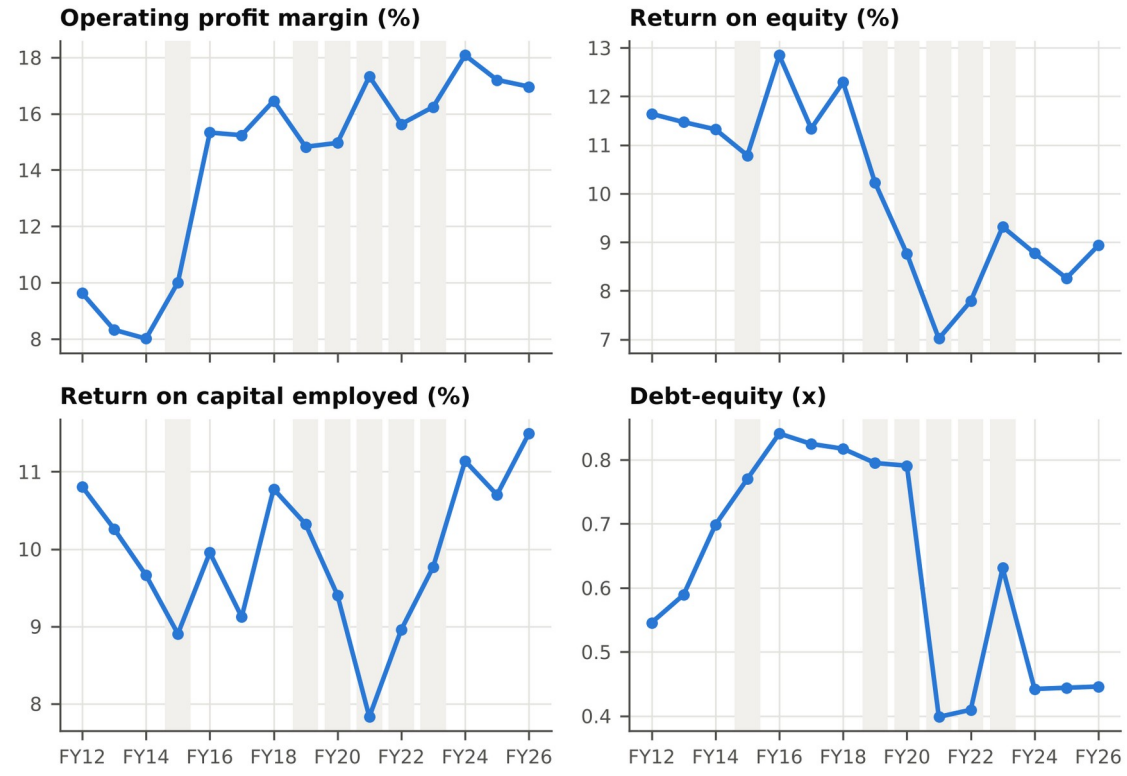


Figure 4.4: RIL's consolidated ratios, FY12–FY26

Source: author's calculations from RIL annual reports (FY12–FY14) and Screener.in (FY15–FY26).

Table 4.10: RIL's ratios three years before and after each main acquisition year

Event year	Deals completed	OPM pre	OPM post	ROE pre	ROE post	ROCE pre	ROCE post	D/E pre	D/E post
FY15	Network18 (control, Jul 2014)	8.65	15.67	11.48	12.16	10.24	9.95	0.61	0.83
FY19	Den, Hathway, Saavn, Embibe, Radisys	15.67	15.97	12.16	7.86	9.95	8.73	0.83	0.53
FY20	Alok, Haptik, Hamleys	15.51	16.40	11.29	8.04	10.07	8.85	0.81	0.48

Event year	Deals completed	OPM pre	OPM post	ROE pre	ROE post	ROCE pre	ROCE post	D/E pre	D/E post
FY21	Netmeds, Urban Ladder; Jio/RRVL stake sales	15.41	16.65	10.43	8.63	10.17	9.95	0.80	0.49
FY22	Just Dial, REC Solar, S&W, Faradion, Clovia, Addverb	15.70	17.17	8.67	8.78	9.18	10.54	0.66	0.51
FY23	Lithium Werks, SenseHawk, Metro Cash & Carry	15.97	17.41	7.86	8.66	8.73	11.11	0.53	0.44

Note: OPM, ROE and ROCE in per cent; D/E in times. Source: author's calculations.

Table 4.11 reports the paired tests across the six event years. RIL's operating margin was higher after every one of the six acquisition years than before it (mean 14.5 to 16.5 per cent; t = 2.04, p = 0.097; Wilcoxon p = 0.031). Fixed-asset turnover was lower after every one (1.47 to 1.12; Wilcoxon p = 0.031), and debt-equity was lower after five of six (0.71 to 0.55; p = 0.118). ROE, ROCE, net margin, liquidity and interest cover show no significant change. On a strict reading, H02 is rejected for operating margin and fixed-asset turnover at the 5 per cent level using the non-parametric test, and not rejected for the other ratios.

Table 4.11: Paired tests of pre- versus post-acquisition ratios: RIL (six event years)

Category	Ratio	N	Mean pre	Mean post	Median pre	Median post	t	p (t)	p (Wilcoxon)
Profitability	Operating profit margin (%)	6	14.49	16.55	15.59	16.52	2.04	0.097	0.031
Profitability	Net profit margin (%)	6	8.23	9.26	8.55	9.16	1.28	0.258	0.312
Profitability	Return on equity (%)	6	10.31	9.02	10.86	8.64	−1.46	0.203	0.438
Profitability	Return on capital employed (%)	6	9.72	9.86	10.01	9.95	0.22	0.834	1.000
Profitability	Return on assets (%)	6	4.38	4.38	4.11	4.42	0.03	0.979	0.844
Liquidity	Liquidity ratio (x)	6	0.80	0.83	0.63	0.79	0.12	0.910	0.438
Liquidity	Cash to total assets (%)	6	3.10	3.47	1.56	3.37	0.16	0.879	0.438
Solvency	Debt-equity (x)	6	0.71	0.55	0.73	0.50	−1.89	0.118	0.156
Solvency	Interest coverage (x)	6	6.66	6.18	6.30	5.52	−0.42	0.691	1.000
Efficiency	Asset turnover (x)	6	0.58	0.48	0.49	0.48	−0.94	0.390	0.688
Efficiency	Fixed-asset turnover (x)	6	1.47	1.12	1.24	1.08	−1.47	0.202	0.031
Growth	Sales growth (%)	6	14.91	12.84	10.40	11.32	−0.82	0.448	0.562

Source: author's calculations.

These results should not be read as the effect of acquisitions. The event windows overlap (the post-period of FY19 is the pre-period of FY22), so the six comparisons are not independent; acquisitions were a small share of RIL's investment (Table 4.4); and the same years saw large organic investment, commodity cycles and the pandemic. The rising operating margin is better explained by the growing weight of Digital Services, whose EBIT margin is three times that of O2C (Section 4.4.3), and the falling fixed-asset turnover by the capital-intensive build-out of Jio's network and new energy. What the acquirer-level

evidence does show is that the acquisitions did not *dilute* RIL's profitability: the period of most intensive deal-making coincided with stable returns and lower leverage.

4.4.3 Segment-level outcomes

Because the acquisitions served particular businesses, segment results are a more direct measure of whether the strategy worked. Figure 4.5 and Table 4.12 show the shift. Retail's revenue grew from ₹21,075 crore in FY16 to ₹3,71,085 crore in FY26, and its EBIT margin from 2.4 to 5.6 per cent. Digital Services grew from ₹23,916 crore in FY18 to ₹1,76,164 crore, with an EBIT margin of 27.4 per cent in FY26. The two consumer businesses together earned 1.3 per cent of segment EBIT in FY16 and 50.5 per cent in FY26, while O2C's share fell from 86.6 to 37.1 per cent.

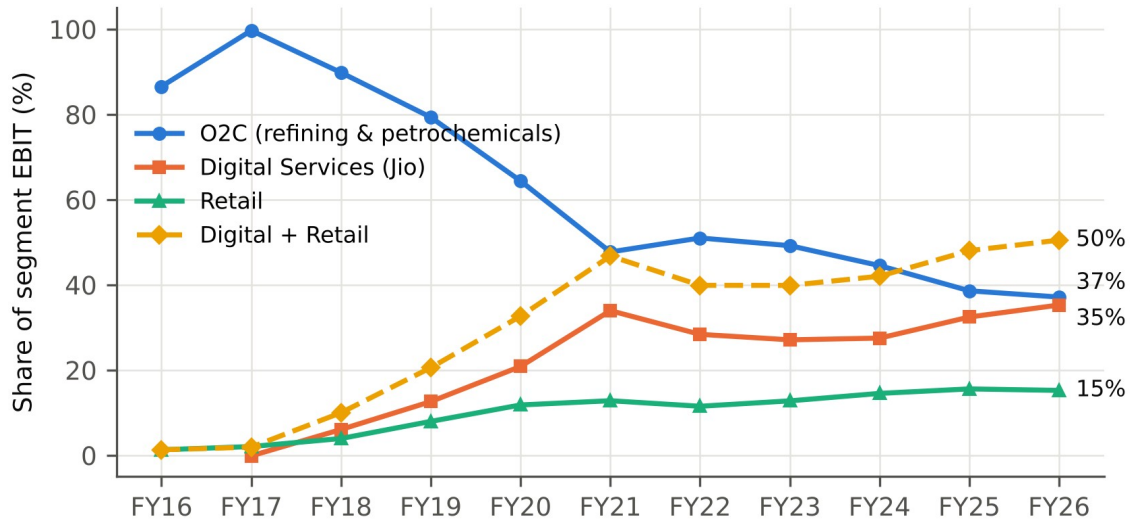


Figure 4.5: Share of RIL's segment EBIT by business, FY16–FY26

Source: segment information in RIL annual reports; author's calculations. FY16–FY19 O2C = Refining + Petrochemicals.

Table 4.12: RIL segment revenue and EBIT margins

FY	Retail revenue (₹ cr)	Retail EBIT margin %	Digital revenue (₹ cr)	Digital EBIT margin %	O2C EBIT margin %	O2C share of EBIT %	Digital + Retail share of EBIT %
FY16	21,075	2.4	–	–	10.6	86.6	1.3
FY17	33,765	2.3	599	−8.7	11.1	99.7	1.9
FY18	69,198	3.0	23,916	13.3	10.9	89.8	10.0
FY19	130,566	4.2	48,660	18.1	9.8	79.3	20.6
FY20	163,029	5.1	69,605	21.0	10.0	64.4	32.7
FY21	157,702	5.1	90,287	23.5	9.3	47.7	46.8
FY22	199,749	5.1	100,161	25.1	9.0	51.0	39.9
FY23	260,394	5.4	119,791	24.8	9.1	49.2	39.9
FY24	306,848	5.7	132,938	24.9	9.5	44.5	42.0
FY25	330,943	5.8	154,119	25.8	7.5	38.6	48.0
FY26	371,085	5.6	176,164	27.4	7.7	37.1	50.5

Note: revenue is the value of sales and services including inter-segment sales; EBIT is the segment result before interest and tax. Source: RIL annual reports.

The acquisitions contributed to this shift at the margin. They added content and distribution to Digital Services, categories and channels to Retail, and technology to new energy. But the segment data also confirm that the shift was overwhelmingly organic, since the businesses acquired are small relative to segments of this size.

4.5 Market reaction to M&A announcements

4.5.1 RIL's shareholders (H03)

Table 4.13 reports the event-study results for RIL. For the 30 acquisitions and strategic investments, the CAAR is −0.17 per cent on the event day and −0.39 per cent over days −1 to +1 (t = −1.03, p = 0.31). Only 43 per cent of CARs are positive, and none of the four tests rejects the null hypothesis in any window. Excluding the one confounded event (Den/Hathway) reduces the three-day CAAR to −0.22 per cent (p = 0.54), and restricting the sample to the twelve deals of ₹1,000 crore or more gives +0.07 per cent (p = 0.92). H03 cannot be rejected for acquisitions: on average, RIL's acquisition announcements neither created nor destroyed value in a way the market could detect.

Table 4.13: Event-study results for RIL by group

Sample	Window	N	CAAR %	% positive	t (CS)	p (CS)	Patell Z	p (Patell)	p (BMP)	p (Wilcoxon)
A: Acquisitions & strategic investments (all)	(0,0)	30	−0.17	40	−1.04	0.306	−0.64	0.523	0.377	0.271
	(−1,1)	30	−0.39	43	−1.03	0.313	−1.06	0.288	0.285	0.339
	(−5,5)	30	−0.97	37	−1.21	0.236	−1.15	0.252	0.233	0.328
	(−10,10)	30	−1.73	40	−1.59	0.124	−1.52	0.129	0.099	0.140
A: excluding confounded events	(0,0)	29	−0.08	41	−0.58	0.566	−0.22	0.825	0.711	0.405
	(−1,1)	29	−0.22	45	−0.63	0.535	−0.60	0.549	0.501	0.495
	(−5,5)	29	−0.97	38	−1.16	0.254	−1.11	0.266	0.255	0.358
	(−10,10)	29	−1.46	41	−1.33	0.194	−1.21	0.225	0.169	0.221
A: deals >= Rs 1,000 crore	(0,0)	12	−0.12	42	−0.37	0.719	−0.47	0.635	0.623	0.733
	(−1,1)	12	+0.07	50	0.10	0.923	−0.09	0.929	0.937	0.970
	(−5,5)	12	−0.18	25	−0.25	0.811	−0.12	0.907	0.850	0.339
	(−10,10)	12	−0.90	42	−0.68	0.510	−0.74	0.462	0.386	0.424
A: Media & Entertainment	(0,0)	5	−1.08	0	−2.59	0.061	−2.10	0.036	0.055	–
	(−1,1)	5	−2.04	20	−1.86	0.137	−2.32	0.021	0.109	–
	(−5,5)	5	−1.81	40	−0.93	0.404	−1.00	0.317	0.394	–
	(−10,10)	5	−5.09	20	−2.54	0.064	−2.24	0.025	0.048	–
A: Digital & Technology	(0,0)	6	+0.24	50	0.62	0.563	0.50	0.615	0.555	0.844
	(−1,1)	6	+0.10	50	0.12	0.907	0.22	0.827	0.818	1.000
	(−5,5)	6	−0.75	17	−0.65	0.546	−0.39	0.696	0.600	0.438
	(−10,10)	6	+0.45	50	0.37	0.727	0.26	0.794	0.638	0.562

Sample	Window	N	CAAR %	% positive	t (CS)	p (CS)	Patell Z	p (Patell)	p (BMP)	p (Wilcoxon)
A: Retail & Consumer	(0,0)	11	−0.05	55	−0.22	0.832	0.11	0.916	0.852	0.765
	(−1,1)	11	−0.72	27	−1.12	0.288	−1.04	0.300	0.322	0.320
	(−5,5)	11	−2.42	27	−1.57	0.148	−1.49	0.135	0.193	0.147
	(−10,10)	11	−4.45	18	−2.20	0.052	−2.12	0.034	0.022	0.005
A: New Energy & Materials	(0,0)	8	−0.08	38	−0.30	0.771	−0.14	0.890	0.796	0.641
	(−1,1)	8	+0.71	75	1.44	0.193	0.80	0.424	0.220	0.250
	(−5,5)	8	+1.38	62	0.97	0.364	0.66	0.508	0.454	0.312
	(−10,10)	8	+2.45	75	1.44	0.192	1.09	0.276	0.221	0.250
B: Inbound strategic stake sales	(0,0)	5	+3.50	60	1.26	0.277	5.92	<0.001	0.252	–
	(−1,1)	5	+4.59	60	1.43	0.226	3.99	<0.001	0.232	–
	(−5,5)	5	+5.21	80	1.80	0.147	1.94	0.053	0.309	–
	(−10,10)	5	+8.08	80	1.97	0.120	2.42	0.015	0.183	–
C: Deal reversals	(0,0)	2	−1.80	0	−2.11	0.281	−2.09	0.036	0.272	–
	(−1,1)	2	−0.08	50	−0.08	0.950	−0.04	0.970	0.964	–
	(−5,5)	2	+5.49	100	1.02	0.493	1.98	0.047	0.493	–
	(−10,10)	2	+2.18	100	1.24	0.431	0.57	0.570	0.434	–

Note: market model estimated over days −250 to −30 against the Nifty 50. CS = cross-sectional. The Wilcoxon test is not reported for N < 6. Source: author's calculations.

The absence of an average effect hides differences between clusters. **Media** deals drew consistently negative reactions: the event-day CAAR is −1.08 per cent (all five negative; Patell p = 0.036, BMP p = 0.055) and the 21-day CAAR is −5.09 per cent (BMP p = 0.048). **Retail** deals were followed by negative drift: −0.72 per cent over three days but −4.45 per cent over 21 days, with only two of eleven positive (Wilcoxon p = 0.005). **Digital** deals had essentially no reaction (+0.10 per cent). **New-energy** deals were mildly positive (+0.71 per cent over three days; six of eight positive), though not significantly so. Figure 4.7 shows each deal's three-day CAR; only two acquisitions have individually significant CARs: Den/Hathway (−5.3 per cent, confounded with results) and Kelvinator (−3.2 per cent).

The strongest reactions were to the **inbound stake sales** (Group B): +4.59 per cent over three days on average (Patell p < 0.001), and +8.08 per cent over 21 days (Figure 4.6). Facebook (+9.1 per cent, t = 3.69), Silver Lake (+8.9 per cent, t = 2.71) and the Aramco letter of intent (+11.2 per cent, t = 4.96, announced at the AGM) were individually significant; Google (−4.7 per cent, announced at the 2020 AGM, which the market received poorly) and QIA (−1.5 per cent) were not. Because the cross-sectional test does not reject (p = 0.23 with N = 5), this evidence is suggestive rather than conclusive. Its message is nonetheless clear: the market responded much more to transactions that *revealed the value* of RIL's platforms, and brought in cash, than to transactions in which RIL spent cash.

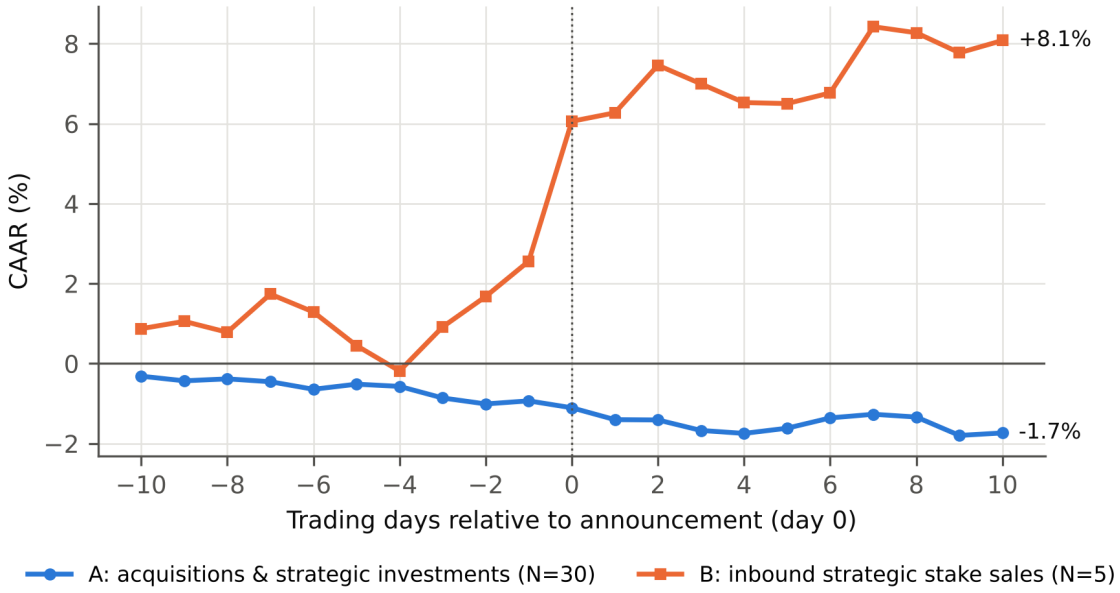


Figure 4.6: Cumulative average abnormal returns around announcements: acquisitions versus stake sales

Source: author's calculations.

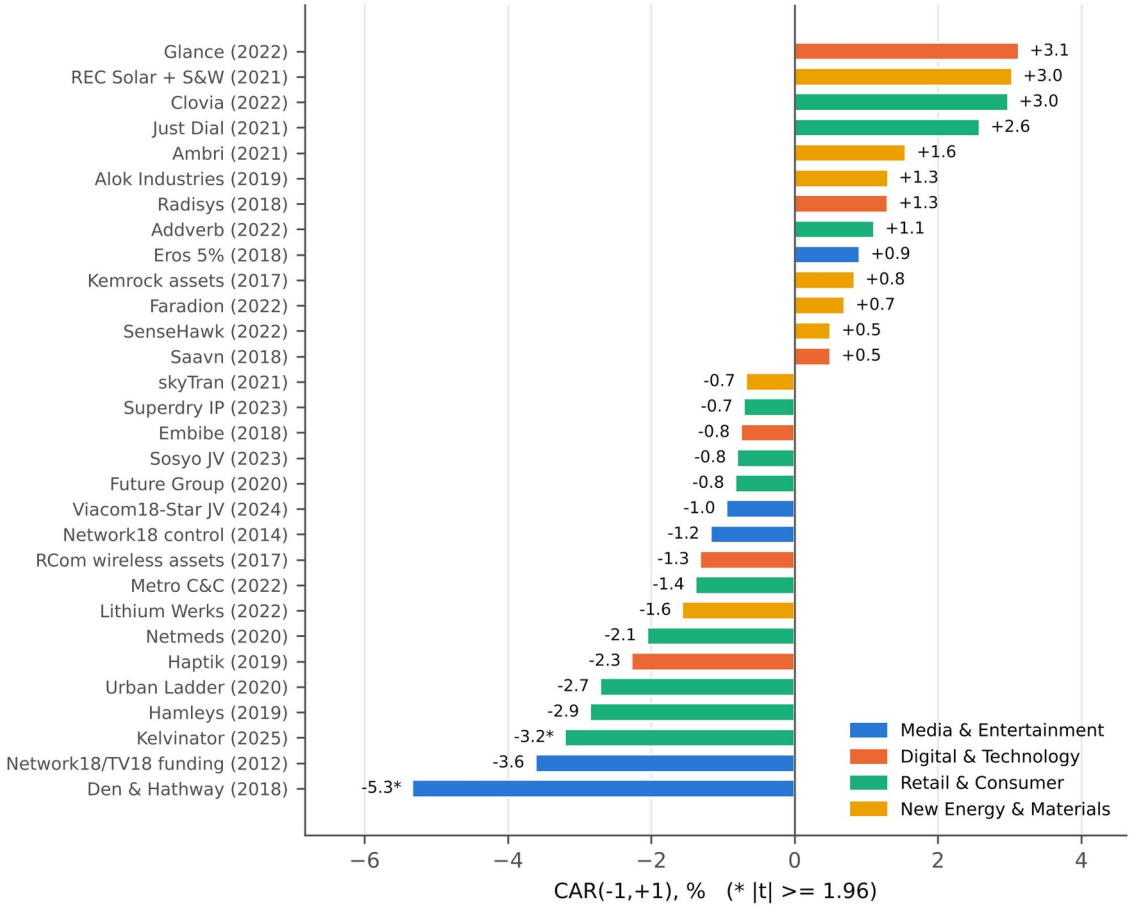


Figure 4.7: Three-day CAR for each RIL acquisition and strategic investment

Note: * indicates |t| ≥ 1.96 for the individual event. Source: author's calculations.

Why are the acquisition effects so small? The main reason is size. The median deal was worth 0.09 per cent of RIL's market value, while the standard deviation of RIL's three-day abnormal return is about 2.2 per cent. Even a deal that created value equal to half its price would move RIL's share price by a few hundredths of a per cent, far below what can be detected. This matches Moeller et al.'s (2004) finding that large acquirers earn small announcement returns, and Fuller et al.'s (2002) observation that frequent acquirers' deals are partly anticipated.

4.5.2 Robustness

Table 4.14 shows that the conclusion for Group A does not depend on the model: with market-adjusted returns the three-day CAAR is −0.30 per cent (p = 0.45), and with a shorter estimation window it is −0.45 per cent (p = 0.26).

Table 4.14: Robustness of Group A results to the return model

Specification	Window	CAAR %	t (CS)	p (CS)	p (Patell)	p (BMP)	p (Wilcoxon)
Market model, est. (-250,-30)	(−1,1)	−0.39	−1.03	0.313	0.288	0.285	0.339
Market model, est. (-250,-30)	(−5,5)	−0.97	−1.21	0.236	0.252	0.233	0.328
Market-adjusted returns	(−1,1)	−0.30	−0.77	0.447	0.370	0.383	0.612
Market-adjusted returns	(−5,5)	−0.40	−0.53	0.603	0.610	0.585	0.641
Market model, est. (-150,-11)	(−1,1)	−0.45	−1.14	0.264	0.307	0.334	0.428
Market model, est. (-150,-11)	(−5,5)	−1.12	−1.36	0.184	0.209	0.215	0.237

Source: author's calculations.

4.5.3 Target shareholders (H04)

Table 4.15 reports the event study for the targets' own shares, and Table 4.16 the tests for the six acquired companies. As in the international literature, target shareholders gained substantially. The CAAR is +4.30 per cent on the event day, +7.49 per cent over days −1 to +1 and +23.57 per cent over days −10 to +10 (t = 2.67, p = 0.044). The Patell test rejects the null in every window up to day 0 (p < 0.001), although the cross-sectional t-test, which allows for very different volatilities across these small companies, rejects only for the longer windows. H04 is therefore rejected.

Table 4.15: Event-study results for target companies

Company	Event	Event day	CAR(0,0) %	t	CAR(−1,+1) %	t	CAR(−10,−2) %	CAR(−10,+10) %
Network18 Media & Investments	RIL funding for Network18/TV18 rights issues and ETV de	2012-01-03	+17.18	7.67	+25.94	6.69	+8.21	+25.22
Network18 Media & Investments	Independent Media Trust to acquire control	2014-05-30	+18.30	7.53	+25.92	6.15	+12.28	+44.83
Den Networks	RIL to acquire 66% (preferential + secondary)	2018-10-19	−3.50	−0.93	−3.44	−0.53	+30.36	+25.79

Company	Event	Event day	CAR(0,0) %	t	CAR(−1,+1) %	t	CAR(−10,−2) %	CAR(−10,+10) %
Hathway Cable & Datacom	RIL to acquire 51.3% (preferential)	2018-10-19	+6.05	1.46	+6.80	0.94	+16.78	+20.24
Alok Industries	NCLT approves RIL-JM Financial ARC resolution plan	2019-03-08	+4.01	1.07	+12.02	1.85	+5.13	+47.28
Just Dial	RRVL to acquire controlling stake	2021-07-19	−4.32	−1.12	−10.08	−1.51	+6.47	−11.59
Sterling and Wilson Renewable Energy	RNESL to acquire 40%	2021-10-11	+5.28	1.44	+13.72	2.16	+13.48	+14.85
Future Retail	RRVL to acquire Future Group retail businesses	2020-08-31	+19.83	5.17	+13.83	2.08	+27.19	+9.88
Future Retail	Reliance says scheme cannot be implemented	2022-04-25	−4.29	−1.30	−13.15	−2.30	−4.41	−58.59

Source: author's calculations; market model against the Nifty 50.

Table 4.16: Tests for the six acquired companies (T02–T07)

Window	CAAR %	% positive	t (CS)	p (CS)	Patell Z	p (Patell)	p (Wilcoxon)
(0,0)	+4.30	67	1.29	0.254	3.84	<0.001	0.219
(−1,1)	+7.49	67	1.43	0.213	3.68	<0.001	0.219
(−2,2)	+10.17	67	1.83	0.127	3.61	<0.001	0.156
(−5,5)	+18.25	83	1.72	0.147	4.28	<0.001	0.156
(−10,10)	+23.57	83	2.67	0.044	3.88	<0.001	0.062
(−10,−2)	+14.09	100	3.79	0.013	3.23	0.001	0.031
(2,10)	+1.99	33	0.32	0.761	0.57	0.569	0.844

Source: author's calculations.

Two further patterns stand out (Figure 4.8). First, much of the gain came *before* the announcement: the CAAR over days −10 to −2 is +14.1 per cent, positive for all six companies ($t = 3.79$, $p = 0.013$). This is consistent with leakage of information or with press reports before the deals; for Just Dial, talks were reported on 15 July 2021, the day before the announcement. Second, there is no reversal after the announcement (days +2 to +10: +2.0 per cent, not significant), so the gains were not temporary. Just Dial is the exception, with a negative reaction because the deal was priced below the market after the run-up.

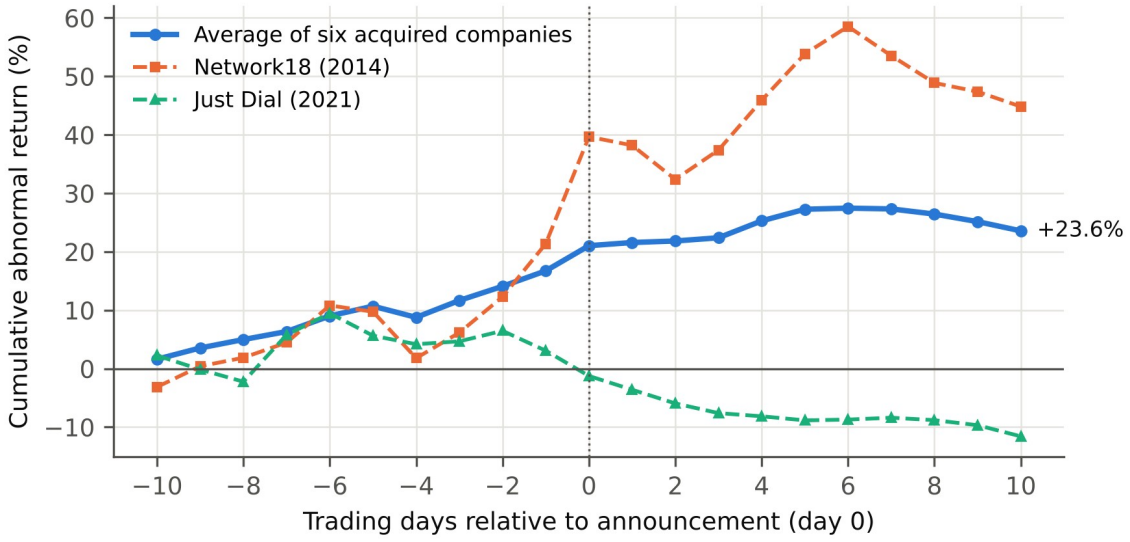


Figure 4.8: Cumulative abnormal returns of acquired companies around the announcement

Source: author's calculations.

4.5.4 Cross-section: does strategic intent explain the reaction? (H05)

Table 4.17 tests whether the three-day CAR differs across strategic categories. Although the means differ in an intuitive way (+0.71 per cent for new-energy deals against −2.04 per cent for media deals; +0.59 per cent for unrelated deals against −1.34 per cent for horizontal ones), the Kruskal–Wallis tests do not reject equality across clusters (p = 0.126), Bower types (p = 0.171) or relatedness categories (p = 0.294). There is no relationship between CAR and relative deal size (Spearman ρ = 0.04, p = 0.86). H05 cannot be rejected with this sample.

Table 4.17: Cross-sectional tests of RIL's three-day CAR (Group A)

Test	Statistic	p-value
Kruskal-Wallis CAR(-1,+1) by cluster	5.714	0.126
Kruskal-Wallis CAR(-1,+1) by bower_type	6.409	0.171
Kruskal-Wallis CAR(-1,+1) by relatedness	3.712	0.294
Spearman CAR(-1,+1) vs relative deal size	0.039	0.856

Source: author's calculations.

4.6 Linking strategic intent and outcomes

Table 4.18 brings the qualitative and quantitative findings together by strategic theme. It suggests three relationships, which are consistent with the theory but not statistically conclusive.

Table 4.18: Strategic themes and their outcomes

Theme	Deals (IDs)	RIL CAR(−1,+1): mean; positive	Target / operating outcome	Assessment
1. Jio ecosystem: content, distribution, technology	A01, A02, A05–A09, A11, A22	−0.81%; 4 of 9	Targets: large gains (Network18, Den, Hathway); Den and Hathway turned profitable but stopped growing; Network18 loss-making for years	Strategic value realised through Jio, not in targets' own accounts; market sceptical of media
2. New commerce and brands	A12, A13, A15, A17, A21, A24, A27, A28, A30	−0.63%; 3 of 9 (21-day: −5.4%)	Just Dial: growth and margins restored; Retail EBIT margin 2.4% to 5.6%	Small deals; negative drift for RIL suggests doubts about many small bolt-ons
3. Technology and options in new energy	A16, A18–A20, A23, A25	+0.59%; 4 of 6	S&W: large post-deal losses then recovery from FY24	Market mildly positive on technology options; execution risk high
4. Distressed consolidation	A03, A04, A10, A14, A26	−0.28%; 2 of 5	Alok: still loss-making; Future: deal failed; METRO integrated	Low entry prices, but turnaround and legal risk
5. Borrowing capital and partners	A29, B01–B05	+3.67%; 3 of 6	Jio Platforms and RRVL valuations established; RRVL value doubled 2020–23; leverage fell	Strongest value signal; funded the build-out

Source: Tables 4.5, 4.8 and 4.13–4.16.

- **Platform-revealing transactions dominate value creation.** The market's largest reactions were to stake sales and joint ventures that put a price on RIL's platforms, not to acquisitions. For a company whose market value is mostly in businesses that were not separately listed, transactions that disclosed their value were the most informative events.
- **Complements to a platform look unprofitable on their own but may still serve the strategy.** The ecosystem deals (Network18, Den, Hathway) produced weak or slow stand-alone results and sceptical reactions for RIL, yet they supplied the content and access that Jio used. The accounting results of the targets therefore understate their strategic value, consistent with ecosystem theory (Jacobides et al., 2018).
- **Capital injection is the most reliable financial effect on targets.** Across the six companies the only significant change was lower leverage, because RIL's deals put new equity into the targets. Operating results depended on the industry: improvements where the problem was financial (Den, Hathway), continued losses where it was structural (Alok) or contractual (S&W).

4.7 Summary of hypothesis tests

Table 4.19: Summary of findings by hypothesis

Hypothesis	Result	Evidence
P1: Deals driven mainly by ecosystem and capability motives	Supported	19 of 30 deals coded to content, capability, omni-channel or green-energy motives (21 with Jio infrastructure); theme intensities match clusters; no deal justified by financial diversification
H01: No change in targets' ratios	Rejected for debt-equity only	D/E 1.34 to 0.42 ($p = 0.035$); profitability, liquidity, efficiency and growth changes not significant

Hypothesis	Result	Evidence
H02: No change in RIL's ratios	Rejected for OPM (up) and fixed-asset turnover (down) at 5% (Wilcoxon); not rejected for others	OPM 14.5% to 16.5% (6 of 6 up); FATO 1.47 to 1.12 (6 of 6 down); overlapping windows and organic investment confound attribution
H03: No abnormal return for RIL	Not rejected for acquisitions; rejected for media deals (day 0) and retail deals (21 days) by some tests; stake sales positive (Patell)	CAAR(−1,+1) = −0.39%, p = 0.31; media day 0 −1.08% (Patell p = 0.036); retail (−10,+10) −4.45% (Wilcoxon p = 0.005); Group B +4.59% (Patell p < 0.001)
H04: No abnormal return for targets	Rejected	CAAR(−1,+1) = +7.49% (Patell p < 0.001); (−10,+10) = +23.57% (t-test p = 0.044); run-up +14.1% (p = 0.013)
H05: Reaction does not differ by strategic category or size	Not rejected	Kruskal–Wallis p = 0.126 (cluster), 0.171 (Bower type), 0.294 (relatedness); Spearman ρ = 0.04 with relative size

Source: Sections 4.2–4.6.

5. DISCUSSION, CONCLUSION AND RECOMMENDATIONS

5.1 Discussion of the findings

5.1.1 Strategic intent (Objective 1)

The qualitative evidence supports the proposition that RIL's acquisitions were driven mainly by ecosystem and capability motives rather than by financial diversification. Nineteen of the 30 deals (63 per cent) were coded to content, capability, omni-channel or green-energy motives, and two more to infrastructure for Jio. None was justified in terms of risk spreading or financial synergy. This fits the resource-based and dynamic-capabilities views (Barney, 1991; Teece et al., 1997) better than the agency view (Jensen, 1986). RIL did have large free cash flows in the period, but it spent most of its investment organically, and the deals were small and tightly linked to its new businesses. It also fits Khanna and Palepu's (1997, 2000) account of business groups in emerging markets. RIL used its scale, reputation and access to capital to assemble capabilities across industries faster than a focused firm could, and it was able to raise more than ₹2 lakh crore from global investors because its platforms were credible.

The frameworks used to classify the deals also explain differences between them. Bower's (2001) typology separates RIL's deals into clear groups: convergence bets in media, R&D substitutes in technology and new energy, product extensions in retail and consolidation of distressed assets. Each group had a different integration approach and a different risk. Capron and Mitchell's (2012) build–borrow–buy framework describes the whole strategy: RIL built the core platforms, borrowed capital and partners, and bought what it could not build quickly. The strategic intent, in Hamel and Prahalad's (1989) sense, was the ambition to become a consumer and technology company. The acquisitions were means to that end, which is why the annual reports talk about ecosystems far more than about acquisitions.

5.1.2 Financial outcomes (Objective 2)

The target-level results agree with the Indian evidence that targets are typically highly leveraged and that acquisition restructures their balance sheets (Kumar & Rajib, 2007). Leverage fell significantly in every acquired company because RIL's deals combined new equity with share purchases. The absence of a significant improvement in profitability agrees with the international evidence that post-merger operating gains are elusive and depend on the benchmark (Ghosh, 2001; King et al., 2004). Like Mantravadi and Reddy (2008), the study finds that results depend on the industry. Where the target's problem was financial (Den, Hathway), new equity and lower interest costs produced a turnaround. Where it was structural (Alok's textiles, Network18's media economics) or contractual (S&W's legacy projects), RIL's ownership did not prevent losses for several years.

At the acquirer level, the period of intensive deal-making saw a higher operating margin, lower asset turnover and lower leverage, with no change in returns on equity or capital.

Because acquisitions were small relative to RIL's organic investment, these changes mainly reflect the growth of Jio and Retail rather than synergies from acquisitions. This is itself a finding. For a group of RIL's size, synergy realisation cannot be measured in consolidated accounts and has to be assessed at the level of the business that the deal serves. Segment results do show that the two consumer businesses that most acquisitions supported grew from about 1 to about 50 per cent of segment EBIT over the decade, with rising margins.

5.1.3 Market reaction (Objective 3)

The event-study results reproduce the most robust findings in the M&A literature. Target shareholders earned large positive abnormal returns (+7.5 per cent over three days and +23.6 per cent over 21 days), close to the 16–30 per cent reported for US targets (Jensen & Ruback, 1983; Andrade et al., 2001). The acquirer's average return was close to zero (−0.4 per cent). The near-zero acquirer reaction is consistent with the size effect identified by Moeller et al. (2004) and with the anticipation of frequent acquirers' deals (Fuller et al., 2002): RIL's deals were too small to move its share price, and the market expected RIL to keep buying. The negative reactions to media deals and the negative drift after retail deals are consistent with Morck et al.'s (1990) and Roll's (1986) concern that diversifying deals can destroy acquirer value, although the effects are small and not robust across all tests.

The most striking result is the contrast between acquisitions and stake sales. The market added about 9 per cent to RIL's value on the days of the Facebook and Silver Lake investments, but did not react to acquisitions. This suggests that investors valued RIL as a holding company whose subsidiaries' value was uncertain until outside investors put a price on it. It also supports the view that, in emerging markets, a credible partner's investment certifies value (Chari et al., 2010), and that the main value effect of RIL's M&A strategy came from the “borrow” side rather than the “buy” side.

5.2 Drivers of success and integration bottlenecks

Comparing the cases suggests the following drivers of success:

- **Clear role in a larger platform.** Deals with a specific role in an organically built platform (Den and Hathway for JioFiber; Just Dial and Netmeds for new commerce; REC Solar for module manufacturing) had a clear purpose even when stand-alone returns were modest.
- **Founder retention and autonomy.** In technology and brand deals RIL kept the founders and managers in place (Saavn, Embibe, Haptik, Just Dial, Clovia), which protected the capabilities it had bought.
- **Balance-sheet repair.** The combination of a preferential issue with a secondary purchase immediately de-leveraged the targets and gave them capacity to invest.

- **Staged commitment in uncertain technologies.** Minority stakes and small acquisitions in batteries and solar technology limited the downside while preserving the option to scale up.

The bottlenecks were equally clear:

- **Legal and contractual risk.** The Future Group deal failed because of Amazon's prior contractual rights and the opposition of secured creditors, despite strong strategic logic.
- **Structural decline of acquired industries.** Cable television (Den, Hathway) and parts of media (Network18) were in decline, so turnaround depended on cost and financial restructuring rather than growth, and RIL's own digital services competed with them.
- **Inherited liabilities.** S&W's post-acquisition losses on legacy contracts and Alok's persistent losses show the risk of buying businesses whose problems lie in contracts or in industry overcapacity.
- **Changing strategic priorities.** The Aramco transaction was put on hold when RIL's own strategy shifted towards new energy, which shows how large deals can be overtaken by changes in the acquirer's direction.

5.3 Theoretical implications

1. **Deal type matters, even within one acquirer.** The differences between media, retail, digital and new-energy deals in this study, although not statistically conclusive, support Bower's (2001) argument that M&A should be analysed by strategic type, and they suggest that pooled studies of acquirer returns hide systematic variation.
2. **Ecosystem complements should be evaluated at the ecosystem level.** Targets that complement a platform may show poor stand-alone accounting results while adding value to the platform. Accounting-based studies of post-merger performance that look only at the target or at a consolidated conglomerate will misstate the outcome of such deals.
3. **For large diversified groups, the borrow side of M&A can matter more than the buy side.** The literature concentrates on acquisitions, but for RIL the market reacted far more to sales of minority stakes in subsidiaries. Theories of business groups in emerging markets should treat the sale of stakes to strategic investors as part of the group's M&A strategy.

5.4 Managerial implications

For corporate strategists. RIL's experience suggests a sequence for transforming a large company: build the core platform organically, raise outside capital and partners against it, and acquire capabilities to fill gaps. Acquisitions should be chosen by the role they play in the platform, integrated according to what makes them valuable (autonomy for technology and brands, full integration for distribution and capacity), and screened carefully for legal

entanglements and inherited liabilities. Distressed purchases are cheap but expose the buyer to the underlying industry's problems.

For investors in the acquirer. The announcement of an RIL acquisition carries little information about value, because the deals are small and expected. Investors should pay more attention to transactions that reveal the value of unlisted subsidiaries, such as stake sales, joint ventures and, prospectively, initial public offerings of Jio Platforms or Reliance Retail.

For investors in the targets. Target shareholders have earned large gains, mostly before the announcement. After the announcement, results depend on whether the target's problems are financial or structural, and on the deal price. In Just Dial's case the acquirer paid less than the market price.

5.5 Recommendations

1. RIL should publish the strategic and financial performance of its main acquired businesses in its segment reporting or investor presentations, so that investors can judge whether acquired capabilities are being used. At present most targets disappear into large segments.
2. Before buying assets in declining industries (such as cable distribution), acquirers should plan for decline as well as integration, for example by converting networks to broadband or by restructuring costs early.
3. In technology acquisitions, the preservation approach (founder retention and autonomy) should be maintained until the capability has been transferred, with clear milestones for integration.
4. Large deals involving counterparties with existing contracts or creditor rights (as in Future Group) require early legal resolution; the cost of a failed deal includes management time and the target's deterioration while the deal is pending.
5. Minority shareholders of RIL's listed subsidiaries and acquired companies would benefit from clearer disclosure of related-party transactions with the group, in view of the concerns about value transfer within business groups (Bertrand et al., 2002).

5.6 Limitations of the study

- **Single acquirer.** The study describes RIL; its findings may not apply to other acquirers, and the small samples (six targets, six event years, five stake sales) give low statistical power.
- **Attribution at the acquirer level.** RIL's consolidated ratios are dominated by organic investment and commodity cycles, and the deal windows overlap; the acquirer-level comparisons are therefore descriptive rather than causal. No industry-matched benchmark was used, because RIL has no close comparable.

- **Accounting changes.** The move from Indian GAAP to Ind AS (FY17) and restructuring of the targets (for example Network18's deconsolidation of joint ventures and later mergers) affect comparability across the pre- and post-acquisition windows.
- **Condensed statements.** Ratios are computed from Screener.in's condensed statements; the liquidity ratio is a proxy rather than the reported current ratio. Results should be checked against Prowess or Bloomberg data if available.
- **Unlisted targets.** Most targets (Saavn, Netmeds, REC Solar, Faradion, METRO India) were private and their post-acquisition performance is not observable from public data.
- **Event dates and confounding.** Some deals were reported in the press before the official announcement, and some announcements coincided with results or AGMs; the run-up window and the confounding flag only partly address this.
- **Stated intent.** The qualitative analysis relies on management's public statements, which may present a deal more favourably than the true motive. Interviews with managers were outside the scope of this study.

5.7 Suggestions for future research

- Repeat the analysis for other large Indian groups (Tata, Adani, Aditya Birla) to see whether the build–borrow–buy pattern and the contrast between acquisition and stake-sale reactions are general.
- Use subsidiary-level financial statements filed with the Ministry of Corporate Affairs to measure the post-acquisition performance of unlisted targets such as Netmeds, Urban Ladder and REC Solar.
- Use synthetic-control or matched-firm methods to construct counterfactuals for the acquired listed companies (for example comparing Den and Hathway with GTPL Hathway or other cable operators).
- Study the effect of RIL's acquisitions on competitors' share prices, which would distinguish market-power motives from efficiency motives (Eckbo, 1983).
- Examine the long-run returns to RIL's shareholders around the eventual listing of Jio Platforms or Reliance Retail, which would complete the evaluation of the stake-sale strategy.

5.8 Conclusion

This dissertation set out to analyse the strategic intent and financial outcomes of mergers and acquisitions by Reliance Industries Limited. RIL's acquisitions between 2012 and 2025 followed a consistent logic. They supplied content, distribution and technology to the Jio platform; extended Reliance Retail into new categories, channels and brands; bought technology and options for a new-energy business; consolidated distressed assets; and were accompanied by large sales of minority stakes that brought in capital and strategic partners.

The deals were small relative to RIL and to its organic investment. RIL built its transformation and used acquisitions to fill gaps in it.

The financial and market outcomes reflect this. Target shareholders gained substantially, and the acquired companies' balance sheets were repaired, but their operating results varied with the health of their industries. RIL's shareholders did not react to acquisitions on average, reacted negatively to media deals and drifted down after retail deals, but reacted strongly and positively to the stake sales that revealed the value of its platforms. The decade in which RIL was most active in M&A was also the decade in which its consumer businesses grew from almost nothing to half of its profits. The evidence suggests that M&A contributed to this by supplying capabilities and reach, while most of the value was created by the platforms RIL built itself.

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APPENDICES

Appendix A: Data Sources and Reproducibility

All data used are public. The repository accompanying this dissertation contains the raw files, the scripts and the outputs:

- **data/prices/** – daily prices (NSE via Yahoo Finance) for RIL, the Nifty 50 and seven target companies; produced by *analysis/01_prices_to_csv.py*.
- **data/financials/** – Screener.in statements and line-item schedules (*02_screener_to_csv.py*, *03_screener_schedules.py*); FY2012–FY2014 figures for RIL and Network18 transcribed from the annual reports (*manual/pre_2015_from_annual_reports.csv*); RIL segment data from the annual reports (*manual/ril_segments.csv*).
- **data/deals/** – index of 760 RIL press releases (*04_ril_press_releases.py*), text of 52 deal releases (*05_fetch_press_release_text.py*), the deal master table with strategic coding (*deals_master.csv*) and target events (*target_events.csv*).
- **analysis/** – event study (*10_event_study.py*), deal descriptives (*15_deal_descriptives.py*), financial ratios (*20_financial_ratios.py*), pre/post tests (*30_prepost_tests.py*), content analysis (*40_content_analysis.py*) and figures (*50_figures.py*).
- **results/** – every table in Chapter 4 as a CSV file.

Notes on the data: (i) prices are adjusted for bonus issues (2017 and 2024) and the 2023 demerger of Jio Financial Services; (ii) market values for relative deal size use split-adjusted prices and the share count after the 2024 bonus issue (1,268.7 crore shares before the 2020 rights issue, 1,353.2 crore after), so they are approximate; (iii) deal values in foreign currency are converted at approximate exchange rates on the announcement date; (iv) Network18's FY2012–FY2014 borrowings include current maturities of long-term debt to match the later Screener definition.

Appendix B: Event-Level Results

Table B.1: Abnormal returns of RIL for each announcement

ID	Transaction	Event day	β	CAR(0,0) %	t	CAR(−1,+1) %	t	CAR(−5,+5) %	CAR(−10,+10) %	Rel. size %
A01	Network18 & TV18 (funding via Independent Media	2012-01-03	1.07	−0.65	−0.52	−3.62	−1.68	−8.64	−9.30	–
A02	Network18 Media & Investments (control)	2014-05-30	1.11	−0.76	−0.65	−1.18	−0.58	−2.87	−3.13	1.22
A03	Kemrock Industries assets	2017-09-06	0.72	+0.89	0.62	+0.84	0.34	+6.59	+2.05	–
A04	Reliance Communications wireless infrastructure	2017-12-28	1.02	+0.05	0.03	−1.32	−0.51	−1.38	−2.13	–
A05	Eros International plc (5% stake)	2018-02-20	1.08	−0.63	−0.43	+0.91	0.36	+2.75	+0.95	–
A06	Saavn (combined with JioMusic)	2018-03-23	1.20	−0.27	−0.21	+0.50	0.23	−0.94	−3.04	0.25

ID	Transaction	Event day	β	CAR(0,0) %	t	CAR(−1,+1) %	t	CAR(−5,+5) %	CAR(−10,+10) %	Rel. size %
A07	Embibe (Indiavidual Learning)	2018-04-13	1.12	+0.78	0.65	−0.75	−0.36	−1.25	+3.14	0.22
A08	Radisys Corporation (NASDAQ)	2018-07-02	1.14	−0.70	−0.60	+1.30	0.64	−2.14	+3.55	0.09
A09	Den Networks and Hathway Cable & Datacom	2018-10-19	1.23	−2.75	−2.32	−5.33	−2.60	−1.11	−9.74	0.83
A10	Alok Industries (IBC resolution with JM Financia	2019-03-08	1.42	−0.05	−0.04	+1.30	0.58	−1.25	−2.91	0.71
A11	Haptik Infotech	2019-04-03	1.43	−0.31	−0.23	−2.28	−0.98	−3.53	−1.53	0.09
A12	Hamleys Global Holdings	2019-05-10	1.46	−0.22	−0.16	−2.85	−1.23	−7.30	−7.28	0.08
A13	Netmeds (Vitalic Health)	2020-08-18	1.08	−0.26	−0.13	−2.06	−0.60	−6.27	−6.65	0.05
A14	Future Group retail & wholesale and logistics bu	2020-08-31	1.09	+0.59	0.31	−0.83	−0.26	−1.87	+2.08	2.01
A15	Urban Ladder	2020-11-17	1.12	−2.01	−1.06	−2.71	−0.82	−12.83	−22.76	0.01
A16	skyTran Inc (majority)	2021-03-01	1.08	−1.00	−0.48	−0.68	−0.19	+4.81	+3.59	0.02
A17	Just Dial	2021-07-19	0.97	+0.49	0.31	+2.58	0.94	−0.22	−2.69	0.27
A18	Ambri Inc	2021-08-10	0.91	+0.55	0.37	+1.55	0.60	+1.93	+4.53	0.03
A19	REC Solar Holdings and Sterling & Wilson Solar	2021-10-11	0.93	−0.81	−0.57	+3.04	1.22	+4.96	+7.90	0.59
A20	Faradion Ltd	2022-01-03	1.01	−0.05	−0.04	+0.70	0.33	−2.82	+1.55	0.09
A21	Addverb Technologies	2022-01-18	1.05	−0.09	−0.07	+1.11	0.51	+1.47	−2.10	0.06
A22	Glance (InMobi group)	2022-02-14	1.13	+1.90	1.60	+3.13	1.52	+4.73	+2.71	0.10
A23	Lithium Werks assets	2022-03-14	1.18	−0.84	−0.75	−1.57	−0.81	+1.40	+8.36	0.03
A24	Clovia (Purple Panda Fashions)	2022-03-21	1.16	+0.60	0.54	+2.98	1.53	+5.24	+1.59	0.06
A25	SenseHawk Inc	2022-09-05	1.11	+0.68	0.50	+0.51	0.21	−4.61	−5.42	0.02
A26	METRO Cash & Carry India	2022-12-22	1.04	+0.13	0.11	−1.39	−0.63	−0.34	−2.42	0.18
A27	Sosyo Hajoori Beverages (50% JV)	2023-01-03	1.04	−0.95	−0.75	−0.81	−0.37	+1.81	−2.89	–
A28	Superdry IP for South Asia (76% JV)	2023-10-04	1.25	+0.43	0.50	−0.71	−0.48	−0.60	−2.18	0.02
A29	Viacom18–Star India joint venture with Disney	2024-02-28	1.25	−0.62	−0.79	−0.96	−0.70	+0.80	−4.24	0.58
A30	Kelvinator brand (India)	2025-07-18	1.17	+0.69	0.76	−3.21	−2.05	−5.70	−3.61	–
B01	Saudi Aramco LOI for 20% of O2C	2019-08-13	1.43	+11.63	8.96	+11.15	4.96	+7.94	+7.36	–
B02	Facebook investment in Jio Platforms	2020-04-22	0.97	+7.50	5.25	+9.13	3.69	+12.16	+22.35	6.53
B03	Google investment in Jio Platforms	2020-07-15	1.08	−4.17	−2.14	−4.74	−1.40	+4.27	+8.49	3.00
B04	Silver Lake investment in Reliance Retail Ventur	2020-09-09	1.10	+2.69	1.42	+8.92	2.71	+6.89	+5.22	0.56
B05	Qatar Investment Authority investment in Relianc	2023-08-23	1.20	−0.16	−0.18	−1.49	−1.00	−5.20	−3.04	0.48
C01	Aramco O2C deal put on hold ('re-evaluate')	2021-11-22	0.94	−2.66	−2.16	−1.06	−0.50	+0.12	+0.43	–
C02	Future Group deal called off	2022-04-25	1.11	−0.95	−0.81	+0.91	0.45	+10.87	+3.93	–

Note: relative size = deal value / RIL market value five trading days before the event. Source: author's calculations.

Appendix C: Financial Data Tables

Table C.1: RIL consolidated financials and ratios, FY12–FY26

FY	Sales (₹ cr)	Operating profit	Net profit	OPM %	NPM %	ROE %	ROCE %	D/E	Interest cover	Asset turnover	Liquidity ratio
FY12	358,501	34,508	19,717	9.6	5.5	11.6	10.8	0.55	9.8	1.10	1.98
FY13	397,062	33,045	20,886	8.3	5.3	11.5	10.3	0.59	8.6	1.10	1.84
FY14	434,460	34,799	22,548	8.0	5.2	11.3	9.7	0.70	8.5	1.01	1.21
FY15	374,372	37,449	23,640	10.0	6.3	10.8	8.9	0.77	10.4	0.74	0.81
FY16	272,583	41,781	29,861	15.3	11.0	12.8	10.0	0.84	11.5	0.46	0.75
FY17	303,954	46,307	29,833	15.2	9.8	11.3	9.1	0.82	11.4	0.43	0.57
FY18	390,823	64,315	36,080	16.5	9.2	12.3	10.8	0.82	7.1	0.48	0.59
FY19	568,337	84,250	39,837	14.8	7.0	10.2	10.3	0.79	4.3	0.57	0.63
FY20	596,679	89,266	39,880	15.0	6.7	8.8	9.4	0.79	3.4	0.51	0.66
FY21	466,307	80,790	53,739	17.3	11.5	7.0	7.8	0.40	3.6	0.35	0.60
FY22	694,673	108,581	67,845	15.6	9.8	7.8	9.0	0.41	6.7	0.46	0.70
FY23	876,396	142,318	74,088	16.2	8.5	9.3	9.8	0.63	5.8	0.55	0.85
FY24	899,041	162,498	79,020	18.1	8.8	8.8	11.1	0.44	5.5	0.51	1.01
FY25	962,820	165,598	81,309	17.2	8.4	8.3	10.7	0.44	5.4	0.49	1.01
FY26	1,055,780	179,065	95,754	17.0	9.1	8.9	11.5	0.45	5.6	0.48	1.43

Source: RIL annual reports (FY12–FY14) and Screener.in (FY15–FY26); author's calculations.

Table C.2: Acquired companies: annual financials and ratios

Company	FY	Sales (₹ cr)	OPM %	NPM %	ROCE %	D/E	Asset turnover
Network18	FY12	1,944	−15.3	−26.0	−8.7	7.11	0.50
Network18	FY13	2,383	4.3	−6.3	3.6	0.34	0.37
Network18	FY14	2,692	5.8	−0.3	3.7	0.39	0.41
Network18	FY15	3,127	−5.3	−35.7	−37.3	0.62	0.55
Network18	FY16	1,527	3.5	6.3	3.5	0.42	0.27
Network18	FY17	1,491	−10.5	−18.2	−7.0	1.02	0.30
Network18	FY18	1,839	−2.0	−9.4	−0.4	1.94	0.24
Network18	FY19	5,116	1.3	−3.5	−0.9	3.75	0.61
Network18	FY20	5,357	10.7	1.0	10.0	6.32	0.62
Network18	FY21	4,705	16.4	11.6	21.6	4.67	0.57
Network18	FY22	5,880	18.4	14.3	34.1	3.03	0.64
Network18	FY23	6,223	2.2	−0.3	2.9	8.99	0.45
Network18	FY24	9,297	−7.1	−3.5	−0.3	0.54	0.23
Network18	FY25	6,888	−4.9	−25.8	−16.8	0.62	0.81
Network18	FY26	2,121	2.0	7.3	4.4	0.67	0.24
Den Networks	FY15	1,130	8.2	−10.8	−0.2	0.58	0.34
Den Networks	FY16	948	−18.6	−45.5	−18.1	0.88	0.32
Den Networks	FY17	1,157	15.2	−16.2	−6.8	0.62	0.48
Den Networks	FY18	1,285	21.6	−1.3	4.5	0.67	0.55
Den Networks	FY19	1,206	14.7	−25.0	−7.6	0.19	0.30

Company	FY	Sales (₹ cr)	OPM %	NPM %	ROCE %	D/E	Asset turnover
Den Networks	FY20	1,291	16.4	4.6	5.0	0.08	0.35
Den Networks	FY21	1,307	19.1	14.5	6.8	0.00	0.38
Den Networks	FY22	1,226	16.5	13.9	5.9	0.00	0.35
Den Networks	FY23	1,130	13.5	20.9	4.4	0.01	0.30
Den Networks	FY24	1,081	14.2	19.7	7.2	0.01	0.28
Den Networks	FY25	1,005	11.1	19.6	6.9	0.01	0.24
Den Networks	FY26	974	7.2	17.0	5.5	0.01	0.23
Hathway	FY15	1,832	14.5	−9.1	0.5	1.17	0.50
Hathway	FY16	1,137	11.0	−20.9	−5.5	1.45	0.34
Hathway	FY17	1,344	15.0	−14.4	−3.2	1.89	0.39
Hathway	FY18	1,535	22.0	−7.0	1.8	2.10	0.47
Hathway	FY19	1,558	20.5	−12.1	−7.2	0.54	0.24
Hathway	FY20	1,798	24.9	5.8	5.9	0.53	0.28
Hathway	FY21	1,732	28.5	14.6	7.9	0.00	0.38
Hathway	FY22	1,793	22.5	7.3	3.8	0.00	0.39
Hathway	FY23	1,858	17.2	3.5	2.2	0.00	0.38
Hathway	FY24	1,981	16.8	5.0	3.3	0.00	0.40
Hathway	FY25	2,040	16.9	4.6	2.9	0.00	0.40
Hathway	FY26	2,150	15.2	3.8	2.5	0.00	0.41
Alok Industries	FY16	12,924	−20.9	−33.7	−13.8	4.84	0.39
Alok Industries	FY17	8,723	−15.2	−35.3	−7.2	15.10	0.27
Alok Industries	FY18	5,514	−245.3	−337.0	−129.0	–	0.29
Alok Industries	FY19	3,352	−3.9	61.9	59.5	–	0.19
Alok Industries	FY20	3,298	−4.2	39.7	8.2	–	0.18
Alok Industries	FY21	3,848	5.1	−147.4	−60.8	–	0.48
Alok Industries	FY22	7,310	7.7	−2.9	4.1	–	0.89
Alok Industries	FY23	6,989	−1.1	−12.6	−7.2	–	0.94
Alok Industries	FY24	5,510	0.9	−15.4	−4.1	–	0.74
Alok Industries	FY25	3,709	−2.4	−22.0	−3.4	–	0.55
Alok Industries	FY26	3,715	0.8	−20.0	−2.8	–	0.57
Just Dial	FY15	590	28.1	23.6	28.4	0.00	0.61
Just Dial	FY16	668	21.6	21.4	26.1	0.00	0.64
Just Dial	FY17	719	15.3	16.8	17.2	0.00	0.57
Just Dial	FY18	782	21.0	18.3	19.8	0.00	0.55
Just Dial	FY19	892	25.7	23.2	28.7	0.00	0.58
Just Dial	FY20	953	28.6	28.5	26.5	0.06	0.52
Just Dial	FY21	675	23.0	31.7	19.7	0.05	0.38
Just Dial	FY22	647	−0.3	11.0	2.5	0.02	0.16
Just Dial	FY23	845	10.2	19.3	5.2	0.02	0.19
Just Dial	FY24	1,043	20.8	34.8	11.6	0.02	0.21
Just Dial	FY25	1,142	29.3	51.1	14.3	0.02	0.21
Just Dial	FY26	1,214	29.5	40.9	12.0	0.02	0.20

Company	FY	Sales (₹ cr)	OPM %	NPM %	ROCE %	D/E	Asset turnover
Sterling & Wilson	FY19	8,240	8.0	7.7	28.0	2.65	1.53
Sterling & Wilson	FY20	5,575	5.9	5.5	26.7	1.14	1.11
Sterling & Wilson	FY21	5,081	−7.4	−5.7	−20.6	0.72	1.37
Sterling & Wilson	FY22	5,199	−17.4	−17.6	−60.4	0.49	1.49
Sterling & Wilson	FY23	2,015	−55.8	−58.3	−57.0	–	0.63
Sterling & Wilson	FY24	3,035	−0.2	−7.0	4.2	0.53	0.71
Sterling & Wilson	FY25	6,302	4.2	1.4	14.9	0.93	1.12
Sterling & Wilson	FY26	7,548	4.2	−3.9	−5.7	1.84	1.42

Source: Screener.in and Network18 annual reports; author's calculations. – = not meaningful or not available.

Appendix D: Content-Analysis Dictionary

Table D.1: Themes and keywords used in the content analysis

Theme	Keywords (case-insensitive, whole words)
Digital ecosystem & platform	ecosystem(s), platform(s), digital, connectivity, broadband
Content & media	content, entertainment, music, media, streaming, sports, channel(s)
Technology & capability	technology/technologies/technological, artificial intelligence, AI, R&D, patent(s/ed), innovation/innovative, IP, 5G, engineering
Consumer reach & new commerce	consumer(s), customer(s), omni-channel, store(s), commerce, merchant(s), kirana(s), MSME(s)
Scale & leadership	largest, leader(s)/leadership, leading, scale, market share, nationwide, pan-India
Brands & portfolio	brand(s), heritage, iconic, portfolio, fashion, lifestyle
Green energy transition	solar, battery/batteries, energy storage, renewable, green, net-zero, sodium, hydrogen, carbon
Synergy & integration	synergy/synergies/synergistic, integrate/integrated/integration/integrating, combine/combined/combination, win-win
Partnership & capital	partner(s)/partnership(s), investor(s), valuation, equity value, capital
Acquisition mentions (annual reports only)	acquire, acquired, acquires, acquiring, acquisition(s)

Note: “AI”, “IP” and “5G” are matched case-sensitively. Counts are normalised per 1,000 words (press releases) or 10,000 words (annual reports).